AN APPRAISAL REPORT
OF AN

INDUSTRIAL BUILDING

Located At
1250 West 150 North
Provo, Utah

Report #26.002.C

DATE OF VALUATION
December 12, 2025

PREPARED FOR
Mr. Mark Butler
Jones Leasing LLC
1250 West 100 North
Provo, Utah 84601

PREPARED BY
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January 12, 2026

Mr. Mark Butler
Jones Leasing LLC
1250 West 100 North
Provo, Utah 84601

RE: An appraisal report on the "as is" market value of an industrial building located at 1250 West 150 North, Provo, Utah.

Dear Mr. Butler:

At your request, I have prepared the following appraisal report on the above referenced property. The purpose of the appraisal report is to determine the "as is" market value. The "as is" valuation date is December 12, 2025. This report will be utilized by Mr. Butler and/or Jones Leasing LLC for internal management purposes.

As per your request, the appraisal report has been prepared in a manner to conform to the Uniform Standards of Professional Appraisal Practice (USPAP) adopted by the Appraisal Standards of the Appraisal Foundation.

The "as is" subject property represents an industrial building of average quality Class “S/C” construction. The building has 25,130 square feet of gross building area which has been demised into 0 square feet (0.0%) of office space and 25,130 square feet (100.0%) of warehouse/shop space. The building was constructed new in 1977. The building improvements are situated within a 2.58 acre, or 112,385 square foot improved site. The building-to-land ratio is 22.4 percent. This ratio is typical and it is concluded that there is no excess land. Details of the building and site improvements can be found in the body of this report.

The building is owner occupied and the valuation will pertain to the fee simple estate. In the valuation of the fee simple estate, only the Sales Comparison Approach is considered to be applicable. Because of the age of the subject building, the Cost Approach is not considered to be applicable. Because the building is owner occupied, it is determined that credible results can be produced without the Income Capitalization approach. As such, this approach has not be expanded. The estimated exposure/marketing time is 12 months

After careful consideration of the information and analysis contained within this report, I am of the opinion that the "as is" market value of the subject, with fee simple estate property rights, as of December 12, 2025, is:

$4,400,000

"FOUR MILLION FOUR HUNDRED THOUSAND DOLLARS"

The value estimate is for real estate only and does not include any personal property. This letter of transmittal is not to be misconstrued as an appraisal report, but merely indicates the final value estimate developed in the following report. The following report provides supporting data, assumptions, and justifications for my final value conclusions. The appraisal is made subject to the general assumptions and limiting conditions stated at the end of the report. Please feel free to call if there are any questions.

Respectfully submitted,

Bradford B. Dyreng, MAI

Utah State - Certified General Appraiser
License # 6168334-CG00 (Exp. 11/30/27)


VISION PROFILE
801.374.6711
jonespg.com

SUMMARY OF IMPORTANT FACTS AND CONCLUSIONS

SUBJECT:	Industrial Building
LOCATION:	1250 West 150 North, Provo, Utah
ASSESSOR'S PARCEL NO.:	21:019:0009, portion of, and :0059
HIGHEST AND BEST USE:	
Land as if Vacant -	Office/retail and/or light industrial uses
Property as Improved -	To maintain the existing industrial building
LAND/SITE:	A 2.58 acre, or 112,385 square foot site. The site is improved with asphalt paved parking.
EXCESS LAND:	None
IMPROVEMENTS:	An industrial building of average quality Class "S/C" construction designed for industrial use. The building has 25,130 square feet of gross building area. All 25,130 square feet (100.0%) represents warehouse/shop space. The warehouse/shop area has a range in clear height from 14 to 16 feet. Access is provided by 6 overhead doors, 5 of which provide for dock high loading.
FRONTAGE/ACCESS:	Independence Avenue
ZONING:	FC2, Freeway Commercial Two Zone - Provo City Jurisdiction
OWNER OF RECORD:	Jones Leasing LLC
YEAR BUILT:	1977
EFFECTIVE AGE:	20 years
APPRAISED INTEREST:	Fee Simple Estate

SUMMARY-CONTINUED

VALUATION DATE:	December 12, 2025	
DATE OF REPORT:	January 12, 2026	
VALUATION CONCLUSIONS:		
Cost Approach:	$	n/a
Sales Comparison Approach:	$	4,400,000
Income Capitalization Approach:	$	n/a
CONCLUDED FINAL VALUE:	$	4,400,000
Site/Improvement Value:	$	4,400,000
Personal Property Value:	$	n/a
EXPOSURE/MARKETING TIME:	Twelve months	

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IDENTIFICATION AND SCOPE

IDENTIFICATION OF THE PROPERTY

The subject property represents an industrial building located at 1250 West 150 North, Provo, Utah. The subject is identified by the Utah County Recorder as a portion of tax parcel number 21:019:0009, and all of :0059. A legal description of these tax parcels, as provided by the Utah County Recorder, can be found in the addendum.

PURPOSE AND USE OF THE APPRAISAL

The purpose of the appraisal is to estimate the "as is" market value taking into account the fee simple property rights. The appraisal has been ordered by Mr. Mark Butler with the Jones Leasing LLC, in Provo, Utah. The appraisal will be used by Mr. Butler and Jones Leasing LLC for internal management purposes.

SCOPE OF THE APPRAISAL ASSIGNMENT

I have performed an extensive investigation in the local marketplace for valuation of the subject property. My research included, but was not limited to, talking with local property owners, city and county officials, brokers, appraisers, and local business owners. All of the sales data has been verified.

In the valuation of the fee simple estate, only the Sales Comparison Approach is considered to be applicable. Because of the age of the subject building, the Cost Approach is not considered to be applicable. In a fee simple valuation, the Income Capitalization Approach is not needed to produce credible results. As such, this approach has not been expanded.

To report the assignment results, we use the Appraisal Report option of Standards Rule 2-2(a) of the 2024-2025 edition of the Uniform Standards of Professional Appraisal Practice (USPAP). USPAP gives appraisers the flexibility to vary the level of information in an Appraisal Report depending on the intended use and intended users of the appraisal. In this report, the analysis is performed at a moderate level of detail. It summarizes the information analyzed, the appraisal methods employed, and the reasoning that supports the analyses, opinions, and conclusions. It meets or exceeds the former Summary Appraisal Report requirements that were contained in the 2012-2013 edition of USPAP.

Understanding that Utah is a non-disclosure state, information used in this report is as reliable as practical.

DEFINITION OF MARKET VALUE

"MARKET VALUE" as defined in this report is as follows:

"The most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

1. Buyer and seller are typically motivated;
2. Both parties are well informed or well advised, and each acting in what they consider their own best interests;
3. A reasonable time is allowed for exposure in the open market;
4. Payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto; and
5. The price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale."[1]

DEFINITION OF "AS IS" PREMISE

The definition of "AS IS" as used in this report is based on the following:

"Market Value "as is" on appraisal date means an estimate of the market value of a property in the condition observed upon inspection and as it physically and legally exists without hypothetical conditions, assumptions, or qualifications, as of the date the appraisal is prepared."[2]

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[1] *Federal Register*, Volume 55, Number 163, (August 22, 1990), 34228 and 34229; also quoted in the Definitions Section of the *Uniform Standards of Professional Appraisal Practice*, 1996 ed., and *The Appraisal of Real Estate*, 11th ed. (Chicago: Appraisal Institute, 1996), 23.

[2] Appraisal Policies and Practices of Insured Institutions and Service Corporations, Federal Home Loan Bank Board, "*Final Rule*, 12 CFR Parts 563 and 571, December 21, 1987.

PROPERTY RIGHTS APPRAISED

The subject is owner occupied, therefore, the valuation will pertain to the fee simple estate. The definition of fee simple estate is as follows:

> Fee Simple Estate
> "Absolute ownership unencumbered by any other interest or estate; subject only to the limitations imposed by the governmental powers of taxation, eminent domain, police power, and escheat."[3]

DATE OF APPRAISAL

The effective date for the "as is" value of the appraisal is December 12, 2025.

REPORT COMPLETION DATE

The report completion date is January 12, 2026.

STATEMENT OF OWNERSHIP

According to the Utah County Recorder's office, the subject property is currently vested in the name of Jones Leasing LLC.

HISTORY OF THE PROPERTY

The subject has been owned by Jones Leasing LLC for over three years. During this ownership, the subject has been owner occupied.

The aforementioned represents the only know market activity involving the subject in the past three years.

[3] Appraisal Institute, *The Appraisal of Real Estate*, 11th ed. (Chicago: Appraisal Institute, 1996), 137.

NEIGHBORHOOD DATA

The neighborhood analysis is an essential and critical section of the appraisal process. It identifies the specific area of analysis in which certain forces and influences will be analyzed in application of the three approaches to value. The forces influencing the neighborhood are very important when considering the immediate and long range use and value of the subject property. A neighborhood is defined as "A group of complementary land uses."[4] A district is more restrictive in definition and is defined as "A type of neighborhood that is characterized by homogeneous land use."[5]

Geographic Location

Provo is located central within Utah County and is part of the greater Utah County area. Utah County is located 45 miles south of metropolitan Salt Lake City, which is the financial center for the Intermountain Region. The Provo/Orem area represents the financial center of Utah County with Provo representing the Utah County seat.

Utah County is surrounded by mountains forming a valley about 10 miles wide and 20 miles long. The Wasatch Mountains on the east and Utah Lake on the west nearly converge to form the south boundary. The north boundary is considered to be the "point of the mountain" which is located just north of Lehi City.

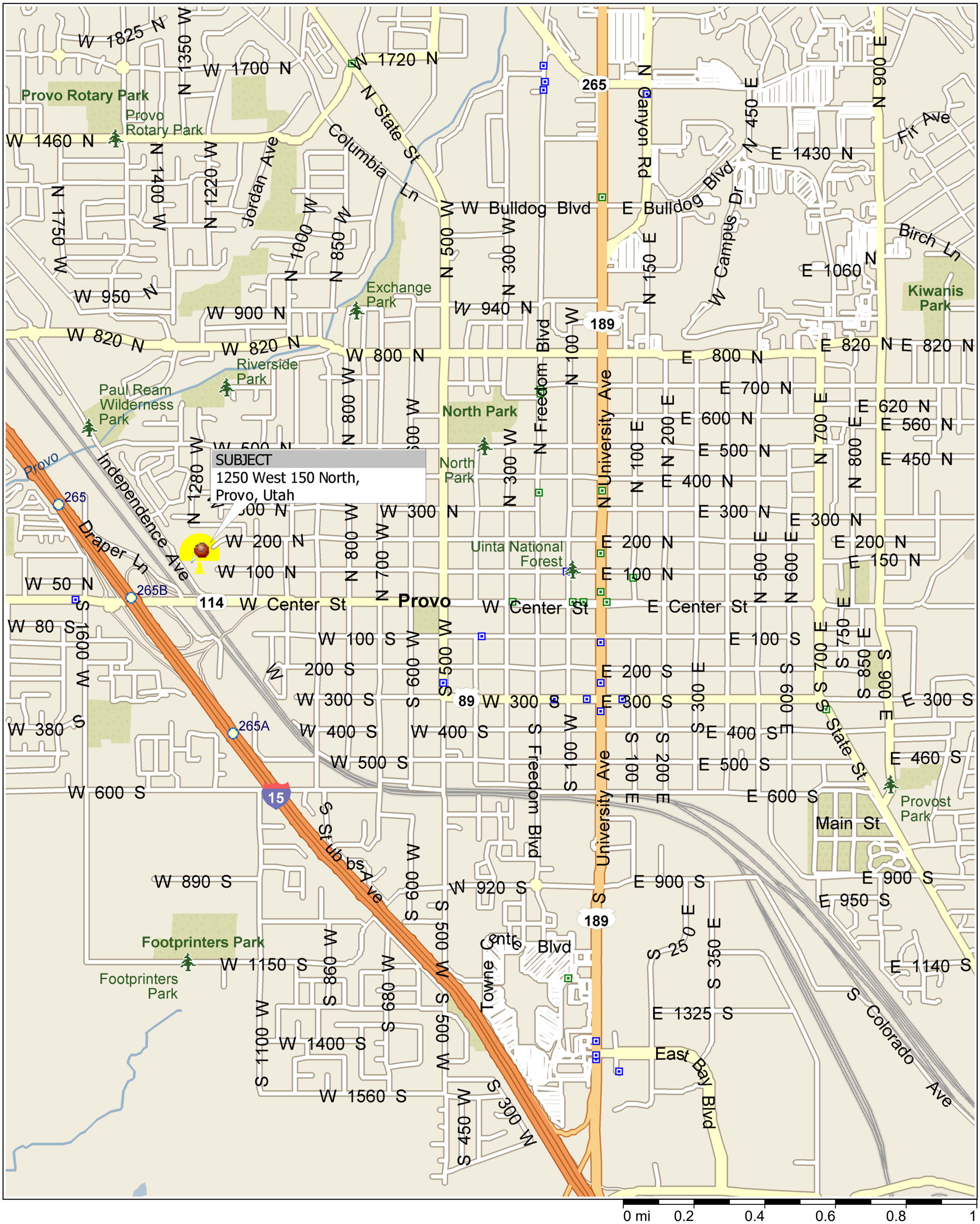
Population

Utah County continues to benefit from strong population growth that comes from both positive attrition and in-migration. The National Census Bureau estimates the Utah County population at 719,714 in 2023, a 38.4 percent increase over 2010 data. Population figures below are for major cities in Utah County for years 2000, 2010, and 2023.

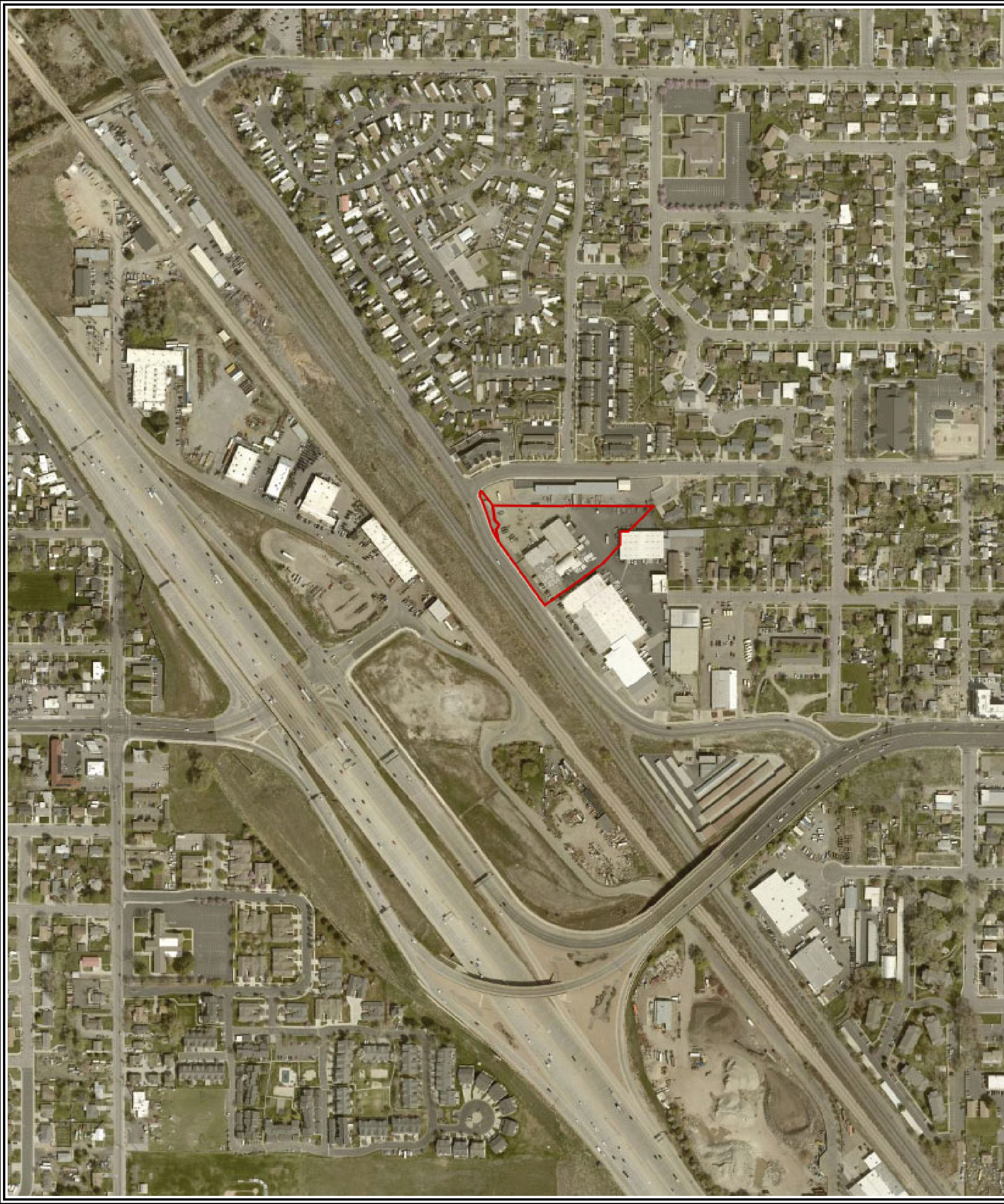
[4] Appraisal Institute, *The Appraisal of Real Estate*, 11th ed., (Chicago: Appraisal Institute, 1996), 189.

[5] Ibid., 189.

Neighborhood Map



AERIAL VIEW



POPULATION DATA - UTAH COUNTY				
Municipality	**2000**	**2010**	**2023**	**Average Annual Change 2010 - 2023**
Provo	**105,166**	**112,488**	**113,343**	**0.05%**
Orem	84,324	88,328	95,519	0.58%
Lehi	19,028	47,407	90,227	6.50%
Eagle Mountain	2,825	21,415	56,932	11.85%
Saratoga Springs	1,571	18,084	52,532	13.61%
Spanish Fork	20,246	34,691	45,557	2.23%
American Fork	21,941	26,263	38,549	3.35%
Pleasant Grove	23,468	33,509	37,294	0.81%
Springville	20,424	29,466	35,471	1.46%
Payson	12,790	18,950	24,054	1.92%
Other	71,988	111,137	130,236	1.22%
County Total	368,536	520,049	719,714	2.74%
State of Utah	2,233,000	2,763,885	3,417,734	1.70%
Source: Utah Department of Workforce Services, Labor Market Information				

The overall Utah County market has grown at an average annual rate of 2.74 percent over the past 14 years, consistent with the state wide average. It is projected that by 2030, Utah County will have a population of 853,711, an average growth rate of 2.69 percent. This is substantially higher than the projections for the State of Utah, which show a 2.39 percent growth rate over the same period. This upward trend will place upward pressure on all real estate sectors.

Employment

The Utah County labor market is characterized by a diversified economy, with concentrations in the service and trade industries. This diversification is apparent by the chart presented on the following page for years 2010, 2018, and 2023.

EMPLOYMENT DATA - UTAH COUNTY				
Industry	**Jobs 2010**	**Jobs 2018**	**Jobs 2023**	**Percent Employed**
Mining	56	133	274	0.09%
Construction	9,675	24,609	29,953	9.76%
Manufacturing	15,667	19,129	23,462	7.64%
Trans/Retail Trade/Utility	29,033	43,892	49,059	15.98%
Information	7,867	12,801	13,717	4.47%
Finance	6,066	8,828	13,294	4.33%
Services	79,714	118,152	140,368	45.72%
Government	26,589	31,313	34,835	11.35%
Total	174,667	258,857	306,985	100.00%
Source: Utah Department of Workforce Services, Labor Market Information				

Total non-agricultural employment has had an average annual increase of 5.41 percent since 2010. Some of the larger employers include Brigham Young University, Intermountain Health Care, IM Flash, NuSkin, Nestle Prepared Foods, Adobe Systems, and DoTerra.

As of July 2025, Utah County and the State of Utah as a whole reported unemployment at 3.3 percent and 3.3 percent, down substantially from the high of July 2009 at 8.0 and 7.7 percent, respectively.

According to the Utah Department of Workforce Services, the 2023 per capita income for Utah County was $57,619. This is below the Utah State level at $64,175.

Jurisdiction and Proximity

The subject is located within Provo City jurisdiction. Provo City is located central within Utah County. Provo combined with neighboring Orem City makes up the Provo/Orem metropolitan area. Provo City is the Utah County seat. The Salt Lake City metropolitan area is located 45 miles to the north.

Boundaries and Neighborhood Land Use

The subject property is located central to the west within Provo City's central business district. The neighborhood boundaries are Interstate 15 to the west, 800 North to the north, 900 East to the east, 920 South to the south. Land use within the boundaries has been developed with a mixture of commercial, industrial, and residential uses.

The majority of the commercial development is located along University Avenue and Center Street. Commercial development along these corridors represents a variety of smaller to medium sized office/retail buildings. Within the downtown area, many of the buildings have zero lot lines. The Provo Towne Center Regional Mall and a number of neighborhood shopping centers are located south along University Avenue. Land along both corridors is largely built out with most of the development being older to middle aged, with much of the new construction located south and north along University Avenue. The strong intensity of development is located at the University Avenue/Center Street intersection, with the development becoming less intense when traveling from this point. Other commercial development is scattered throughout as allowed by zoning.

The majority of the industrial development is located to the south of 600 South, between State Street and University Avenue. Development includes a variety of small to medium sized structures that are older to middle aged, with limited amounts of new construction taking place. Provo City recently finished the development of a 100 acre business park and is currently offering lots for sale at incentive prices.

Most of the remaining land is utilized for single and multi-family residential development. Much of the neighborhood represents middle aged homes with some new construction occurring throughout. Home values typically range from $300,000 to $600,000, with pride of ownership being average. Multi-family development is scattered throughout as allowed by zoning. Much of the multi-family development supports the demand created by Brigham Young University.

Percent Built-Up

In order to determine the percentage of existing build-up in the neighborhood, a drive-through survey of the area was performed by the appraiser. Based on the survey, the area appears to be approximately 70 to 80 percent built-up. Much of the vacant land is located west within the neighborhood. There are a limited number of large land parcels remaining.

Immediate Neighborhood

The subject is located central to the west within Provo's central business district (CBD). Land to the south of the subject represents industrial development. Land to the north and east of the subject represents residential development. Land to the west represents an active railway followed by industrial development followed by Interstate 15. The large majority of the industrial development is middle to older in age. The majority of the residential development is middle to older in age with single family home prices ranging from $300,000 to $600,000 with some higher priced homes scatted throughout the neighborhood.

Access, Transportation, and Traffic Arteries

The general neighborhood is accessed from the north/south via University Avenue and State Street/500 West. Access from the east/west is from 300 South, Center Street and Lakeview Parkway. The aforementioned streets represent major collector class arterials. Other secondary streets provide additional access.

These and other streets in the neighborhood are asphalt paved, in average condition, and publicly dedicated/maintained. Interstate 15 is located 0.50 miles southwest of the subject via Center Street. Neighborhood access is considered to be average.

Development Trends - Single Family Residential

Residential development is occurring as land parcels are being made available; primarily to the west and south within the neighborhood. A history of residential building permits for the Utah County and Provo marketplace is summarized in the following table.

UNIT BUILDING PERMITS - UTAH COUNTY/PROVO			
Year	**Utah County**	**Provo**	**Provo's Market Share**
2017	6,837	242	3.5%
2018	6,715	388	5.8%
2019	7,314	337	4.6%
2020	8,419	675	8.0%
2021	12,430	674	5.4%
2022	8,555	371	4.6%
2023	6,045	165	2.7%
2024	6,630	130	2.0%
2025 - Mar	1,555	0	0.0%
Source: University of Utah BEBR			

With the increase in interest rates in 2022, the residential market softened with stabilization noted in 2023. Although Provo continues to capture a consistent percentage of housing within Utah County, the neighborhood is largely becoming built-up, and residential permits will likely remain consistent with past trends. Clearly demand continues to be stable.

According to the MLS there are 79 home listings in the Provo market, compared to 550 homes sold within the past 12 months. This is an inventory of 1.7 months. In the Utah County market there are 2,092 listings, compared to 6,469 homes sold in the past 12 months. This is an inventory of 3.9 months. An inventory of less than 12 months is considered to be average to good.

According to most home builders, current demand is for homes priced less than $500,000. The following table summarizes activity for homes listed/sold under $500,000 and over $500,000 within the Utah County and Provo marketplace.

HOME INVENTORY BY PRICE RANGE - UTAH COUNTY/ PROVO				
Location	**Price Range**	**Listings**	**Sold**	**Inventory (Months)**
Utah County	$1 to $500,000	277	1,399	2.4
Utah County	$500,001 plus	1,815	5,070	4.3
Provo	$1 to $500,000	22	182	1.5
Provo	$500,001 plus	37	227	2.0

As can be seen, in Utah County more of the demand is for homes valued greater than $500,000, with demand in Provo being nearly equal for homes valued at/near $500,000. A typical rule of thumb for home builders is that a lot needs to be purchased at 30 percent of the home's value. As such, lots valued near $150,000 will be in most demand.

Although inventory levels continue to be low, inventory is up from the less than one month experienced prior to March of 2022. There has been a limited amount of new vertical construction and horizontal development taking place. As such, inventory is limited for both vacant lots/pads and improved structures.

Prior to the Spring of 2022, there was substantial upward pressure being placed on homes. However, with the increase in interest rates, demand has softened somewhat, with both values and absorption trends being off by 10 to 20 percent from 2022 data, with variances being primarily to location within Utah County and price point. Still, most have indicated values and absorption trends are showing signs of stabilization.

Development Trends - Multi-Family Development

A recent survey of a number of projects in the immediate neighborhood indicated the following data.

COMPARABLE ABSORPTION SUMMARY			
Name/ Location	**Unit Size**	**Unit Price**	**Monthly Absorb.**
Legacy Spanish Fork	1,784 to 1,784 sf	$400,000 to $420,000	2.00
Arrowhead Park Payson	1,425 to 1,450 sf	$350,000 to $370,000	2.00
Mapleton Village Mapleton	2,300 to 2,350 sf	$400,000 to $420,000	4.50
Eagle Point Eagle Mountain	1,789 to 1,843 sf	$380,000 to $405,000	3.50
Northshore Saratoga Springs	1,311 to 2,205 sf	$380,000 to $465,000	3.50
Jordan Walk Lehi	1,706 to 1,936 sf	$435,000 to $460,000	3.00
Songbird Cove Lindon	1,705 to 2,349	$585,000 to $645,000	2.50

The data above is a reflection of the current market. Since the Spring of 2022, due to the increase in interest rates, both values and absorption have decreased by a reported 10 to 20 percent. Still, all developers noted that values and absorption have stabilized with some upward pressures noted.

With the high cost of home ownership, an increasing number of families are needing to rent. A survey of these projects indicated rapid absorption with most projects showing absorption trends at over 10 units per month. Further, all managers report continued increases in the rental rates with most reporting vacancy at/or less than 5 percent. Older less desirable projects will continue to under perform. With the increase in interest rates, it is anticipated that more people will need to rent, pushing both rental and occupancy rates upwards.

Development Trends - Commercial

Within the Provo market, commercial development continues to occur at a moderate rate on a demand basis and primarily for the owner occupant. A history of commercial construction within the Utah County and Provo market is detailed in the following table.

COMMERCIAL CONSTRUCTION - UTAH COUNTY/ PROVO		
Year	**Utah County (000)**	**Provo (000)**
2017	$622,026.6	$141,012.1
2018	$523,037.8	$18,153.4
2019	$582,391.5	$5,646.5
2020	$830,804.7	$192,462.8
2021	$833,194.9	$53,102.7
2022	$877,996.9	$214,397.7
2023	$774,011.5	$17,828.5
2024	$668,312.3	$10,011.5
2025 - March	$128,391.3	$9,000.0
Source: University of Utah BEBR		

Given its county seat status, Provo City continues to capture a high percentage of commercial construction within the Utah County market. According to Provo City, construction for 2024 included a number of smaller to large sized projects scattered throughout the city. This development includes larger multi-family projects and a number of Class "A" office buildings.

Property Turnover/Vacancy Rates

All real estate sectors are showing strong demand with upward pressures noted. Details as to industrial vacancy within the Utah County marketplace can be found in the following table.

UTAH COUNTY VACANCY - INDUSTRIAL SPACE 2024 & 2020		
Industrial Sector	**Vacancy 2024 - 4th**	**Vacancy 2020 - 4th**
Total	4.1%	1.5%
Source: Commerce CRG		

The industrial market continues to remain stable with vacancy being consistent with 2023 data, which indicated a 4.0 percent vacancy rate. In 2024, there was 2,933,934 square feet of new construction, with 1,485,707 square feet of positive absorption. The forecast for industrial space is for moderate growth, with vacancy and rental rates remaining stable in the short term. Currently, the average asking rate is $0.95/sf, triple net, with a forecast of modest increases going forward.

Both the office and retail sectors are also beginning to show signs of stabilizing. Details as they pertain to the office and retail sectors are summarized in the following table.

UTAH COUNTY VACANCY - OFFICE/RETAIL SPACE 2024 & 2020		
Office	**Available 2024 - 4th**	**Available 2020 - 4th**
Total	13.9%	12.6%
Retail		
Total	2.5%	4.9%
Source: Commerce CRG		

The office market continues to remain stable, with vacancy showing a modest increase from 2023 data, which indicated an 11.2 percent vacancy rate. In 2024, there was 27,475 square feet of new construction and 128,825 square feet of negative absorption, most of which was high quality space located in the north Utah County area. Much of the vacancy comes from high profile buildings, whereas office space that supports small business continues to have low vacancy rates. Still, vacancy continues to be high and newer high quality space will continue to outperform the market. The average rental rate for office space is $24.38/sf, full service with a forecast of modest increases into the near term.

The retail sector vacancy continues to show signs of improvement with vacancy being consistent with 2023 data, which indicated a 2.4 percent vacancy rate. In 2024, there was 473,589 square feet of new construction with 173,488 square feet of positive absorption. The average rental rate for retail space is $26.50/sf, full service with a forecast of modest increases into the near term. Further, sales tax revenues continue to trend upwards, indicating that the market is on an upward trend.

Property Price Range, Rental Rates, and Financing

Within the Provo area, sales of improved industrial sites have been ranging from $7.00 to $15.00 per square foot, with sales of improved commercial sites ranging from $18.00 to $28.50 per square foot. Depending on size and age, rental rates for office buildings have been ranging from $10.00 to $21.50 per square foot, triple net, for retail buildings from $14.00 to $38.00 per square foot, triple net and for industrial buildings from $6.50 to $14.50 per square foot, triple net.

Financing is available from a number of local and national institutions. Agreements are typically negotiated with 15 to 20 year terms (5 to 7 year call) at rates of 1.0 to 2.0 percent over prime. With the strong economy, banks are actively pursuing loans.

Positive/Negative Influences

The Provo neighborhood continues to develop at moderate rates in all real estate sectors. The subject neighborhood represents an established sector of Provo City, with many of the surrounding developments being middle to older in age, with new construction scattered throughout. The subject benefits from proximity to Brigham Young University and downtown Provo, with above average access to Interstate-15, located 0.5 miles west by way of Center Street. No negative influences were noted.

Community Facilities and Services

General community facilities such as schools, places of worship, hospitals, and recreation centers are found within a close distance to the described neighborhood area. Utah County and Provo City services are considered to be adequate for local businesses and residences. Services provided include street maintenance, garbage pick-up, and police and fire protection.

Availability and Adequacy of Public Utilities

All utilities such as water, sewer, electricity, telephone, natural gas, and storm drainage systems have been provided throughout the neighborhood. The cost of utilities in this neighborhood is competitive with all other locations in Utah County.

Nuisances, Hazards, and Adverse Influences

At this time, no significant detrimental influences exist relative to the neighborhood. An inspection and analysis of the subject neighborhood was performed and no items of external obsolescence were observed. Due to zoning restrictions and other legal considerations, no future detriments are anticipated.

Conformity of Development and Uses

The subject property is zoned for commercial/industrial uses. According to *The Appraisal of Real Estate*, conformity is defined as "the appraisal principle that holds that real property value is created and sustained when the characteristics of a property conform to the demands of its market."[6] It is necessary to analyze the conformance of the subject with regard to the surrounding uses since the conformance principle has a strong influence on the subject property value.

Provo City has done a good job in providing areas for commercial, industrial, and residential development. The zoning for the subject property conforms well with the existing uses in the neighborhood. No change in zoning is anticipated.

Neighborhood Life Stage

According to *The Appraisal of Real Estate*, neighborhoods evolve through four stages which are as follows:

"1. Growth - a period during which the neighborhood gains public favor and acceptance.
2. Stability - a period of equilibrium without marked gains or losses.
3. Decline - a period of diminishing demand.
4. Revitalization - a period of renewal, modernization, and increasing demand."[7]

The neighborhood is considered to be in the growth stage of its life cycle. Growth within the commercial and industrial sectors remains stable. Although there has been some recent softness in the residential sector, most report values have leveled off.

[6] Ibid., 41.

[7] Ibid., 174.

Neighborhood Conclusion

The general neighborhood of the subject property has well defined boundaries and is located within Provo City jurisdiction. A good zoning plan, as implemented by Provo City, has contributed to excellent conformity of uses. General and immediate access to the subject neighborhood is considered to be adequate.

The neighborhood is considered to be in a growth stage and is currently 70 to 80 percent built-up. With the increase in interest rates, there has been some softness in the residential sector, with recent signs of stabilization noted. Both the commercial and industrial sectors remain stable. Still, newer aged/well located properties will continue to out perform the market. No detrimental conditions are noted. There are no signs of over construction within any given sector.

A snapshot report provided by the Utah Department of Economic Development, as it applies to Utah County, can be found in the addendum of this report. This report shows mid-term trends and graphs which may provide supplementary information to that detailed in the above analysis.

SITE DESCRIPTION AND ANALYSIS

Dimensions, Shape, and Area

A copy of the subject plat, found on the following page, shows the land associated with the subject to be irregular in shape. The size of the overall site is 2.58 acres, or 112,385 square feet.

The subject has 25,130 square feet of gross building area. As such, the subject has a building-to-land ratio of 22.4 percent (25,130 square foot gross building area divided by 112,385 square foot site). This ratio is typical when compared to other industrial buildings. There is no excess land.

Topography and Drainage

The subject topography is level, is typically to street grade, and is consistent with adjoining land parcels.

Natural drainage appears to be in an east to west direction. There are no signs of on-site ponding or erosion. The subject is not improved with curb and gutter along the street frontage, however, street drainage appears to be adequate.

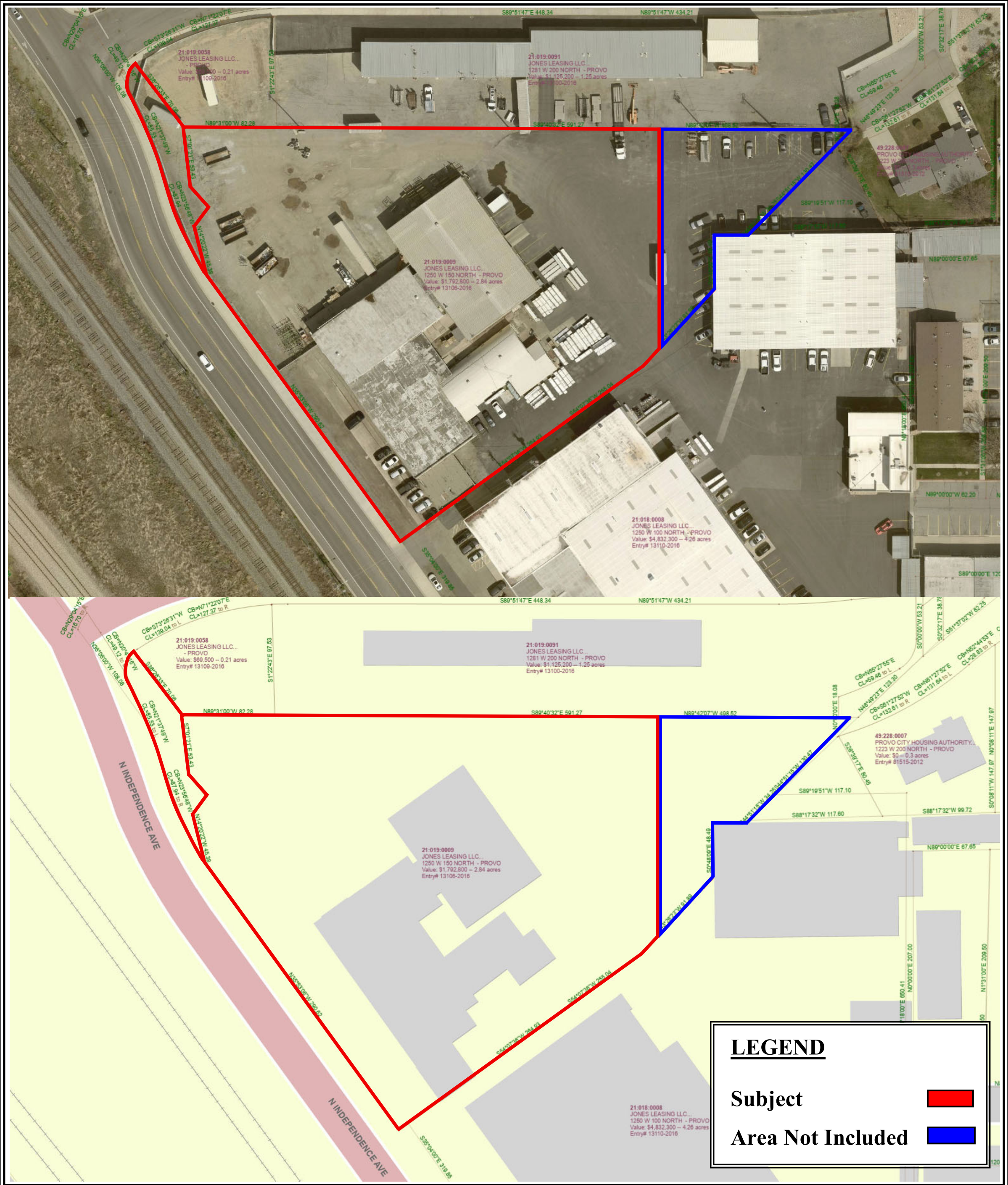
According to the FEMA Flood Hazard Publication Map #49049C0531F, published June 19 2020, the subject property is located in Zone X, which is not a flood hazard area. A flood plain map can be found in the addendum.

Soil and Subsoil

No environmental report was provided to the appraiser. However, based on existing and surrounding development, the soil appears to have adequate load capacity to support the highest and best use. Further, visual inspection showed no evidence of hazardous waste and there is no evidence that any of the property is encumbered with wetlands. The value estimate of this report is based on these conclusions.

In the past there was a 1,000 gallon underground gasoline tank. This tank was closed and removed in December 1990. Still, given this type of use, a Phase I environmental assessment report is recommended. Any surface and/or under ground contamination would have an effect on the value estimate of this report.

PLAT MAP



LEGEND
Subject
Area Not Included
N INDEPENDENCE AVE
21:019:0009
JONES LEASING LLC...
1250 W 150 NORTH - PROVO
Value: $1,792,600 -- 2.84 acres
Entry# 13106-2016
21:019:0091
JONES LEASING LLC...
1281 W 200 NORTH - PROVO
Value: $1,125,200 -- 1.25 acres
Entry# 13100-2016
21:018:0008
JONES LEASING LLC...
1250 W 100 NORTH - PROVO
Value: $4,832,300 -- 4.26 acres
Entry# 13110-2016
49:228:0007
PROVO CITY HOUSING AUTHORITY...
1223 W 200 NORTH - PROVO

<u>Access and Street Improvements</u>

The site area has 509.71 feet of frontage along the east side of Independence Avenue. The subject's ingress/egress is provided by the Independence Avenue frontage. It should be noted that current access is via Independence Avenue. Please note some access from Independence Avenue is shared with the neighboring parcel to the south. If the subject were to be sold, the buyer would need to ensure adequate access from Independence Avenue.

Independence Avenue has two travel lanes and is classified as a mid major collector. According to UDOT, in 2023 the average daily traffic count at the subject location was 2,200 vehicles. For industrial uses, the subject has average access and exposure.

<u>Utilities</u>

According to Provo City, all necessary utilities are located to the site. All utilities have adequate capacity to support the subject's highest and best use.

<u>On-Site Improvements</u>

The site is improved with some asphalt paving/road base and perimeter chain linked fencing at some locations. All onsite improvements are in average condition.

<u>Positive/Negative Influences</u>

The subject is located within an industrial neighborhood of central west Provo City. The subject has average access and above average exposure when compared to other industrial locations. Interstate access is also considered to be average to above average. No negative influences were noted.

Building Improvement Location

The building is situated southwest within the overall site. Customer parking is located on the west, north and east sides of the building. Access to the overhead doors is considered to be adequate.

Rail Service

The subject does not have rail service.

Easements or Encroachments

No title report was available for review that would indicate any unusual easements. From visual inspection of the site, there are no building encroachments from contiguous properties. A review of the recorded plat did not indicate any easements, with the exception of utility easements within the setback areas. As noted, the subject shares access from Independence Avenue with the neighboring property. If the subject were to be sold, the buyer would need to ensure adequate access from Independence Avenue. The value estimate of this report is based on these assumptions. A review of a recently prepared title report is recommended.

ZONING

The subject property is located within the incorporated boundaries of Provo City, Utah, and is under that jurisdiction for zoning and enforcement. The current zoning for the subject and the general neighborhood is FC2, which is a Freeway Commercial Zone. A zoning map can be found on the following page and a copy of the zoning ordinance can be found in the addendum of the report.

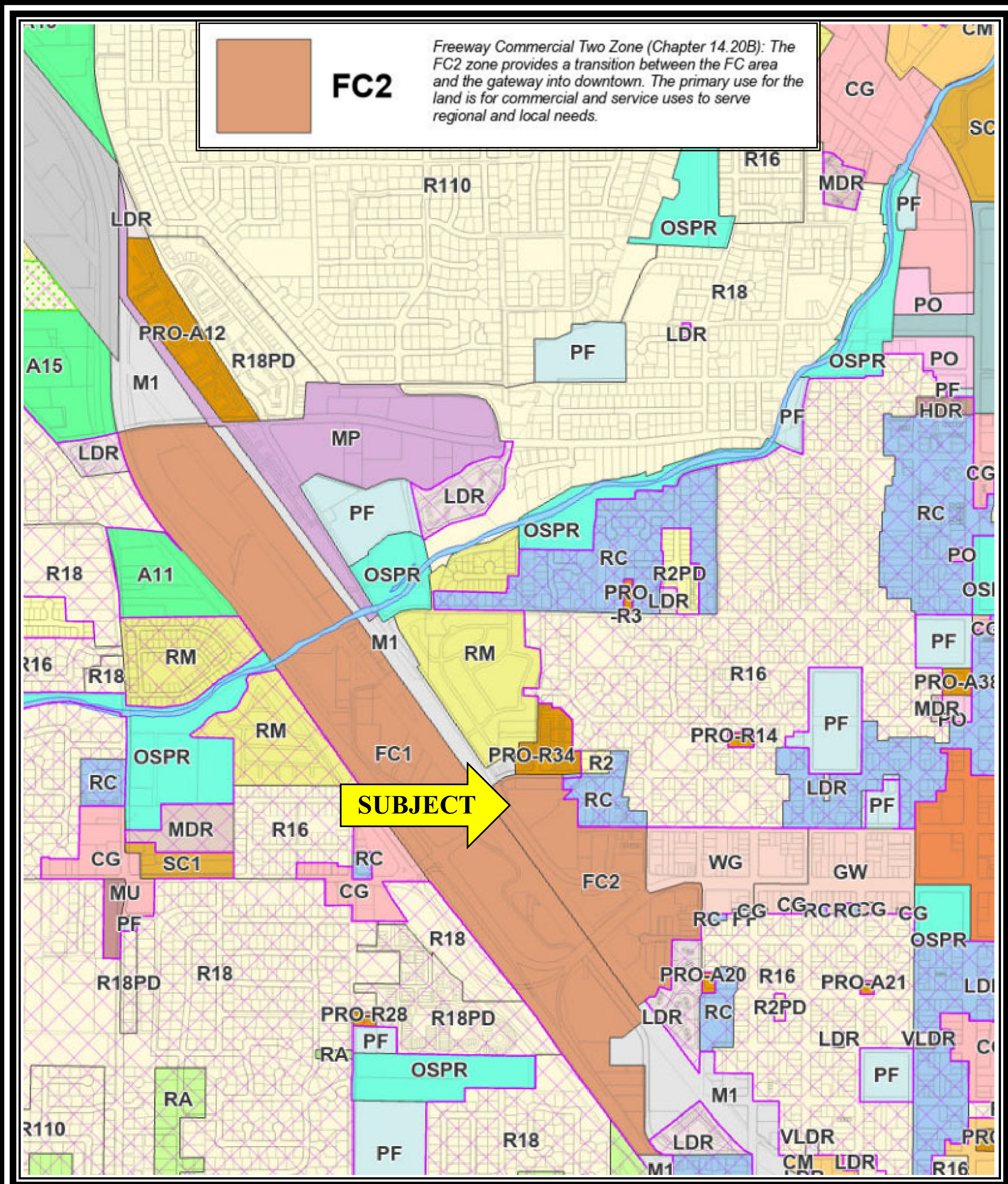
Permitted Uses

The primary purpose of the FC2 zone is “to provide a transition between the freeway commercial area and the gateway to downtown.” The FC2 zone allows for a variety of commercial and industrial type uses. The zone has the following development standards:

Development Standards	FC2
Minimum Lot Site Area:	1 acre
Minimum Lot Width:	100 Feet
Minimum Lot Frontage:	100 Feet
Side Yard:	0 Feet
Front Yard:	10 Feet
Rear Yard:	20 Feet
Maximum building height:	50 Feet
Parking: Industrial	1 stall per 12,000 sq. ft. of gross floor area
Parking: Office	1.5 per 1,000 sq. ft. of gross floor area

The FC2 zone is consistent with the neighborhood and is not likely to change in the near term. Based on review of the FC2 zoning ordinance, it is concluded that the subject is a legal/conforming use.

ZONING MAP



FC2
Freeway Commercial Two Zone (Chapter 14.20B): The FC2 zone provides a transition between the FC area and the gateway into downtown. The primary use for the land is for commercial and service uses to serve regional and local needs.
SUBJECT
R110
R16
R18
LDR
MDR
OSPR
PF
PO
HDR
CG
CM
PRO-A12
R18PD
A15
M1
MP
RC
R2PD
PRO-R3
A11
RM
FC1
FC2
PRO-R34
R2
PRO-R14
PRO-A38
SC1
MU
WG
GW
PRO-A20
PRO-A21
PRO-R28
RA
VLDR

IMPROVEMENT DESCRIPTION

General Description of Buildings

The building description and area are based on physical inspection of the subject on December 12, 2025. The subject represents a Class “S/C” structure of average quality construction. Portions of the building are supported with steel beams and posts with the remainder supported by concrete block walls. The roof is pitched with metal covering and built-up with membrane covering. The building totals 25,130 square feet of gross building. Of the total, 12,900 square feet (51.3%) represents Class “S” steel construction and 12,230 square feet (48.7%) represents Class “C” block construction. The building is 100 percent warehouse/shop area, with restrooms located near the southeast corner of the building. A 3,300 square foot section of the building is of steel quonset construction, inferior to the majority. There is also a 1,250 square foot garage attached to the southern portion of the building.

A floor plan of the building can be found on the following page of this report. Individual discussion of the respective build-out is as follows:

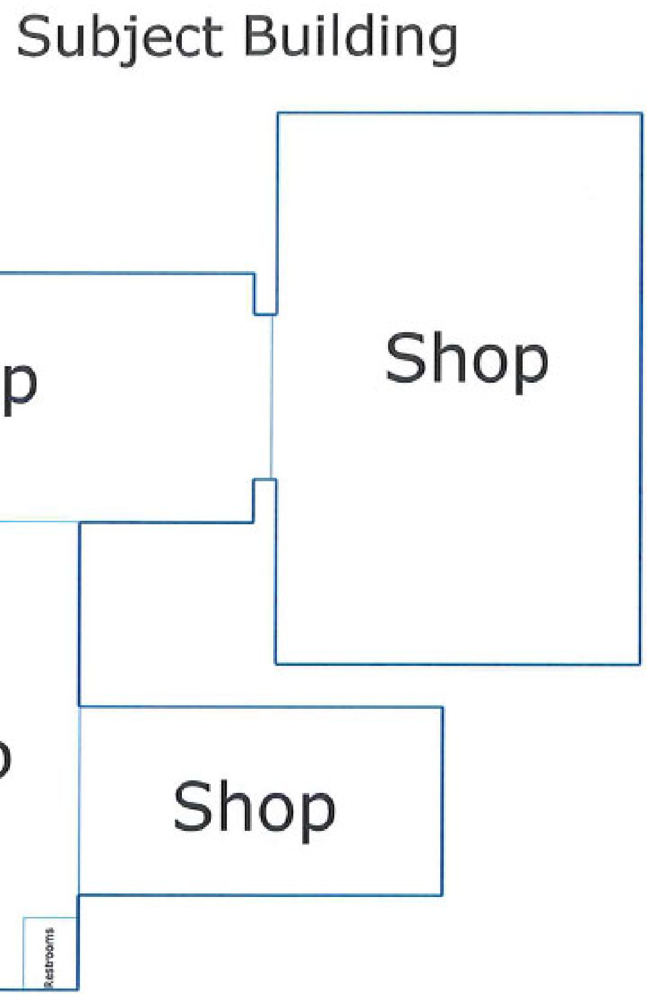
Warehouse/Shop Area

The warehouse/shop area represents the entire building area. This area has been demised into four separate work/warehouse areas. As noted, one of the areas located southeast in the building represents quonset steel construction, and does not have heat or insulation. This area is inferior the remainder of the building. Further, there is a 1,250 square foot garage attached to the southern portion of the building. The garage area is treated an amenity.

The finish of the metal portion includes concrete flooring with vinyl backed insulation on the walls and ceiling. Lighting is provided by hanging fluorescent fixtures. The concrete block portion represents insulated steel/wood deck ceiling and block/insulated walls with hanging fluorescent fixtures. Climate control to these areas is provided by tubular radiant heaters and box heaters. As noted the quonset area does not have heat or insulation. This area has concrete floors, steels walls and ceiling with hanging fluorescent light fixtures.

Access to the warehouse/shop area is provided by six overhead doors located on the north and east sides of the building, five of which provide for dock high loading. The clear height ranges from 14-16 feet.

FLOOR PLAN



Quality, Condition, Effective Age, and Functional Utility

By local standards, the subject is considered to be of average quality. The building is classified by the *Marshall Valuation Service* as an average cost Class “S/C”industrial building.

The building was constructed new in 1977 and has an actual age of 48 years. A physical inspection indicated that the subject is in average condition for its age, with limited to no signs of deferred maintenance noted.

As such, an effective age of 20 years is concluded. The *Marshall Valuation Service* estimates that the economic life for a building like this is about 50 years. Based on an effective age of 20 years, the subject has a remaining life of 30 years.

The subject is fully functional for its intended use. The percentage of office finish and building-to-land ratio are consistent with the current demands within the local marketplace. The general building materials used and the design are functional and consistent with what would be constructed new today for this type of use.

American Disabilities Act

The subject is not improved with handicapped parking. The interior main level restrooms have not been designed to conform to ADA standards. It appears that the subject does not conform to the Americans With Disabilities Act of 1990 Overview of Title III.

ASSESSMENT AND TAXES

The Utah County Assessor identifies the subject as a portion of tax parcel number 21:019:0009, and all of :0059. A three year tax history as provided by the Utah County Recorders Office is summarized in the table below.

SUBJECT BUILDING

Year	Land Value	Improvement Value	Total Value	Tax Liability	Percentage Increase
2025	$967,700	$854,200	$1,821,900	$18,253.61	-1.0%
2024	$961,500	$854,200	$1,815,700	$18,445.70	0.1%
2023	$961,500	$827,500	$1,789,000	$18,435.64	n/a

As noted, the subject represents a portion of tax parcel number 21:019:0009 and all of :0059. Within parcel 21:019:0009 a 0.34 acre area is being excluded. Still, based on the concluded "as is" value of this report, Utah County has under assessed the subject. However, this is typical, but there is some risk of increased taxes going forward. There are no back taxes owing. Based on the concluded value of this report, a maximum tax liability is calculated as follows:

POTENTIAL TAX LIABILITY	
Market Value Total	 $4,400,000
Taxable Value Tax Rate (Provo - 2025)	$4,400,000 0.010019
TOTAL TAXES	$44,084

HIGHEST AND BEST USE

Real estate is typically valued in terms of its highest and best use. Highest and best use is defined in *The Appraisal of Real Estate* as:

> "The reasonably probable and legal use of vacant land or an improved property, which is physically possible, appropriately supported, financially feasible, and that results in the highest value."[8]

In estimation of the highest and best use, the appraiser must consider these four basic stages of analysis for proposed uses:

1. Legally permissible uses. Are there zoning or deed restrictions that would prohibit proposed uses?

2. Physically possible uses. From the permissible uses, which are physically possible when considering all aspects of the site size, shape, and topography or any other physical aspects?

3. Financially feasible uses. Which of the above legally permissible and possible uses will produce a net return to the owner of the site?

4. Maximally productive or highest and best use. After analyzing the above considerations, which of the proposed uses will produce or generate the highest rate of net return over a projected period of time?

In determining the highest and best use of the subject property, the land is considered under two classifications. The first type is the highest and best use as though vacant; the second is the highest and best use as improved. Each type requires a separate discussion and analysis.

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[8] Appraisal Institute, *The Appraisal of Real Estate*, 11th ed. (Chicago: Appraisal Institute, 1996), 297.

Land as Vacant

The highest and best use is for the development of an industrial or office/industrial type building/buildings. The building/buildings should be of average to good quality and have average to above average quality finish. The building-to-land ratio should range from 10 to 45 percent. Given the size of the land, it could be utilized by two or more larger users and/or a number of smaller users.

Highest and Best Use as Improved

The existing improvements are consistent with the highest and best use as vacant. The building is in average condition and continues to contribute to land value.

VALUATION PROCESS

In general, there are three primary valuation approaches employed within the appraisal profession by which real property is appraised. These are the Cost Approach, the Income Capitalization Approach, and the Sales Comparison Approach.

The use of each approach depends on the type of property and the availability of market data upon which the approach is predicated. The use of more than one approach, and preferably all three, requires a correlation analysis which is in effect a checking and refining measure toward a dependable final estimate of value.

As noted earlier in the report, only the Sales Comparison Approach will be expanded in this evaluation.

SALES COMPARISON APPROACH

The Sales Comparison Approach is a method of estimating market value by comparing similar properties that have sold, or that are currently listed for sale, to the subject. Of primary consideration is the fact that the comparables should have the same highest and best use as the property being appraised while the analysis focuses on the differences between the subject property and the sale comparables. Typical criteria considered are property rights conveyed, terms of sale, conditions of sale, time of sale, economic characteristics, location, size, zoning, and other physical characteristics.

The Sales Comparison Approach is primarily based on the appraisal principle of substitution. Substitution is defined in *The Dictionary of Real Estate Appraisal* as follows: "The appraisal principle that states when several similar or commensurate commodities, goods, or services are available, the one with the lowest price will attract the greatest demand and widest distribution."[9] Other appraisal principles which apply to this approach include supply and demand, balance, and externalities.

In applying the Sales Comparison Approach, appraisers follow certain procedures or steps. According to *The Appraisal of Real Estate*, the procedure is as follows:

Sale Comparison Approach Procedure

"1) Research the market to obtain information on sales transactions, listing, and offers to purchase or sell properties that are similar to the subject property in terms of characteristics such as property type, date of sale, size, location, and zoning. (Of particular importance is that they have the same highest and best use as the subject).

2) Verify the information by confirming that the data obtained are factually accurate and that the transactions reflect arm's length market considerations.

3) Select relevant units of comparison (e.g., dollars per acre, per square foot, or per income multiplier) and develop a comparative analysis for each unit.

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[9] Appraisal Institute, *The Dictionary of Real Estate*, 3rd ed., (Chicago: Appraisal Institute, 1993), 356.

4) Compare comparable sale properties with the subject property using the elements of comparison and adjust the sale price of each comparable appropriately to the subject property or eliminate the sale property as a comparable.

5) Reconcile the various value indications produced from the analysis of comparables into a single value indication or a range of values."[10]

An extensive search was made in the Utah County area for similar comparable sales. All of the comparables were arm's length transactions, similar to the subject in highest and best use, and similar in conditions of sale, date of sale, economic factors, and physical characteristics. The search disclosed five comparables which are detailed on the following pages.

[10] Appraisal Institute, *The Appraisal of Real Estate*, 11th ed., (Chicago: Appraisal Institute, 1996), 401.

COMPARABLE SALE ONE

PROPERTY IDENTIFICATION

Address:	764 East 1950 North
City/State:	Spanish Fork, Utah
Proximity to Subject:	10.0 miles south
Tax ID Number:	66:404:0004 and :0007

SALE DATA

Grantor or Seller:	Chrisoney Properties, LLC
Grantee or Buyer:	Steven D. Atkinson
Date of Sale:	May 2024
Sales Price:	$3,450,000
Other:	None
Terms/Financing:	Cash to seller
Cash Equivalent Sale Price:	$3,450,000
Verification:	Bailey Butters, agent
Date of Inspection:	January 23, 2024
Estimated Marketing Time:	4 Months
Sale History:	None

IMPROVEMENT DATA

Building Description:	Multi-tenant
Gross Building Area:	22,950 square feet
Number of Stories:	Two
Construction:	Class "S"
Quality:	Above Average
Year Built:	2001 & 2015
Age at Sale Time:	16 years
Effective Age at Sale Time:	9 years
Condition at Sale Time:	Average
Office/Retail Area:	3,570 square feet, average quality
Percent Office:	15.6 percent
Clear Ceiling Height:	19 feet
Sprinklered:	Yes
Number of Overhead Doors:	2
Size of Overhead Doors:	Various
Dock High Floor/Doors:	No
Retail Heating/Cooling:	Gas fired heat/air conditioning
Shop Heating/Cooling:	Overhead radiant heaters
Building-to-Land Ratio:	43.2 percent

COMPARABLE SALE ONE - CONTINUED

GENERAL PROPERTY DATA

Zoning:	I-1; Industrial
Conditions of Sale:	Arm's length
Property Rights Conveyed:	Leased Fee
Present Use:	Warehouse
Highest and Best Use:	Industrial

SITE DATA

Size:	1.22 acres, or 53,143 square feet
Configuration:	Rectangular
Topography:	Nearly level
Utilities:	All available to site
Parking:	Adequate
Easements/Restrictions:	None

ECONOMIC DATA

Tenant:	Western Botanicals
Tenant Strength:	Local/Regional
Lease Date/Terms:	2.5 years
Lease Type:	NNN
Projected Gross Income:	$235,467
Vacancy:	$5,887
Effective Gross Income:	$229,580
Expenses:	$11,479
Net Operating Income:	$218,101
Net Income Per Sq.Ft.:	$9.50

APPRAISAL INDICATORS

Overall Price/SF:	$150.33
Overall Capitalization Rate:	6.32 percent

ANALYSIS: This comparable represents an inferior quality/newer aged building located south of the subject in Spanish Fork. This location is slightly inferior. Office percentage is slightly superior. Building-to-land ratio is inferior to the subject. Site improvements are superior. Clear height is superior. Other physical characteristics are considered to be similar to those of the subject. This comparable sold leased fee with a below market lease, therefore an upward adjustment is made.

COMPARABLE SALE TWO

PROPERTY IDENTIFICATION

Address:	13081 South Minuteman Drive
City/State:	Draper, Utah
Proximity to Subject:	25.0 miles north
Tax Id. Number:	28:31:301:019 (portion of)

SALE DATA

Grantor or Seller:	Pony Express Limited, LC
Grantee or Buyer:	Matt Kelly
Date of Sale:	March 2024
Sales Price:	$6,700,000
Other	$910,000 in excess land
Terms/Financing:	Cash to seller
Cash Equivalent Sale Price:	$5,790,000
Verification:	Purchase Contract and buyer
Date of Inspection:	February 17, 2024
Estimated Marketing Time:	Six months

IMPROVEMENT DATA

Building Description:	Retail/Warehouse Building
Gross Building Area:	27,170 square feet
Number of Stories:	One
Office/Retail Area:	7,140 square feet
Percent Office/Retail:	26.3 percent
Clear Height:	19 feet
Construction:	Class “C”, tilt-up
Quality:	Average
Condition at Sale Time:	Average
Number of Doors:	2
Year Built:	1994, renovation in 2016
Age at Sale Time:	30 years
Effective Age at Sale Time:	10 years
Building-to-Land Ratio:	31.2 percent

GENERAL PROPERTY DATA

Zoning:	CR, Commercial - Draper City
Conditions of Sale:	Arm’s length
Property Rights Conveyed:	Leased Fee
Present Use:	Retail/Shop
Highest and Best Use:	Commercial

COMPARABLE SALE TWO - CONTINUED

SITE DATA

Size:	2.00 acres, or 87,120 square feet
Configuration:	Mostly Rectangular
Topography:	Level
Utilities:	All available to the site
Parking:	Adequate
Easements/Restrictions:	None

ECONOMIC DATA

Projected Gross Income:	$358,956
Vacancy:	$12,564
Effective Gross Income:	$346,392
Expenses:	$17,320
Net Operating Income:	$329,072
Net Income Per Sq.Ft.:	$12.11

APPRAISAL INDICATORS

Overall Price/SF:	$213.10
Eff. Gross Income Multiplier:	17.59
Overall Capitalization Rate:	5.68 percent

ANALYSIS: This comparable represents a superior quality/newer aged building located north of the subject in Draper along an I-15 frontage road. This location is considered to be similar to that of the subject. Size is similar. Office percentage is superior. Clear height is superior. Building-to-land ratio is inferior. Site improvements are superior. Other physical characteristics are considered to be similar.

COMPARABLE SALE THREE

PROPERTY IDENTIFICATION

Address:	374 North State Street
City/State:	Orem, Utah
Proximity to Subject:	8.0 miles north
Tax Id. Number:	18:006:0078, :0082 and :0092.

SALE DATA

Grantor or Seller:	STC Leasing LLC & Shan Lin
Grantee or Buyer:	Hafen Investments LLC
Date of Sale:	February 2024
Sales Price:	$3,620,000
Other:	None
Terms/Financing:	Cash to seller
Cash Equivalent Sale Price:	$3,620,000
Verification:	Purchase Contract, and buyer
Date of Inspection:	November 24, 2025
Estimated marketing time:	Four Months

IMPROVEMENT DATA

Building Description:	Office/warehouse, single tenant
Gross Building Area:	16,809 square feet
Number of Stories:	One
Construction:	Class "C", block
Quality:	Average
Condition at Sale Time:	Average
Year Built:	1950
Age at Sale Time:	74 years
Effective Age at Sale Time:	20 years
Office Area/Quality:	8,405 square feet, average quality
Office Percentage:	50.0 percent
Clear Ceiling Height:	14 feet
Sprinklered:	No
Number of Overhead Doors:	One
Size of Overhead Doors:	Various
Dock High Floor/Doors:	Yes
Office Heating/Cooling:	Gas forced air with air conditioning
Warehouse Heating/Cooling:	Space heaters
Building-to-Land Ratio:	31.9 percent

COMPARABLE SALE THREE - CONTINUED

GENERAL PROPERTY DATA

Zoning:	C- Commercial
Conditions of Sale:	Arm's length transaction
Property Rights Conveyed:	Fee Simple
Present Use:	Office/warehouse
Highest and Best Use:	Present use as improved
Rail Service:	No

SITE DATA

Size:	1.21 acres, or 52,708 square feet
Configuration:	Rectangular, corner
Frontage:	State Street
Topography:	Level
Utilities:	All municipal utilities
Parking:	Adequate
Parking Ratio:	n/a
Easements/Restrictions:	None noted

ECONOMIC DATA

Tenant:	None
Tenant Strength:	n/a
Lease Type:	n/a
Term:	n/a
Lease Rate/SF:	n/a
Projected Gross Income:	n/a
Vacancy:	n/a
Effective Gross Income:	n/a
Expenses:	n/a
Net Operating Income:	n/a
NOI/SF:	n/a

APPRAISAL INDICATORS

Overall Price/SF:	$215.36
Overall Rate:	n/a

ANALYSIS: This comparable represents a superior quality/similar age building located north of the subject along State Street in Orem. This location is superior to that of the subject. Size is smaller and a downward adjustment is made. A downward adjustment is warranted for the comparable's superior percentage of office finish. Building-to-land ratio is inferior. Clear height is similar. Site improvements are superior. Other physical characteristics are considered to be similar to those of the subject.

COMPARABLE SALE FOUR

PROPERTY IDENTIFICATION

Address:	91 East 780 South
City/State:	Provo, Utah
Proximity to Subject:	2.0 miles southeast
Tax Id. Number:	52:085:0010 (east portion of)

SALE DATA

Grantor or Seller:	2.7 Seconds (Craig Anderson)
Grantee or Buyer:	Chris Jensen
Date of Sale:	September 2025
Sales Price:	$2,060,000
Other:	$120,000 in renovation
Terms/Financing:	Cash to seller
Cash Equivalent Sale Price:	$2,180,000
Verification:	Purchase Contract
Date of Inspection:	August 07, 2025
Estimated marketing time:	Six month

IMPROVEMENT DATA

Building Description:	Office/warehouse
Gross Building Area:	10,800 square feet
Number of Stories:	One
Construction:	Class "S", Steel
Quality:	Average
Condition at Sale Time:	Average
Year Built:	1977
Age at Sale Time:	48 years
Effective Age at Sale Time:	10 years (after renovation)
Office Area/Quality:	2,320 square feet, average quality
Office Percentage:	21.5 percent
Warehouse Clear Height:	16 feet
Sprinklered:	Yes
Number of Overhead Doors:	Four
Size of Overhead Doors:	Various
Dock High Floor/Doors:	Four
Office Heating/Cooling:	Gas forced air with air conditioning
Warehouse Heating/Cooling:	Space heaters
Building-to-Land Ratio:	59.0 percent

COMPARABLE SALE FOUR - CONTINUED

GENERAL PROPERTY DATA

Zoning:	CM - Heavy Commercial
Conditions of Sale:	Arm's length transaction
Property Rights Conveyed:	Fee Simple
Present Use:	Office/warehouse
Highest and Best Use:	Present use as improved
Rail Service:	No

SITE DATA

Size:	0.42 acres, or 18,295 square feet
Configuration:	Rectangular, interior block
Frontage:	100 East and 780 South
Topography:	Level
Utilities:	All municipal utilities
Parking:	Adequate
Parking Ratio:	n/a
Easements/Restrictions:	None noted

ECONOMIC DATA

Tenant:	Vacant
Tenant Strength:	n/a
Lease Type:	n/a
Term:	n/a
Lease Rate/SF:	n/a
Projected Gross Income:	n/a
Vacancy:	n/a
Effective Gross Income:	n/a
Expenses:	n/a
Net Operating Income:	n/a
NOI/SF:	n/a

APPRAISAL INDICATORS

Overall Price/SF:	$201.85
Overall Rate:	n/a

ANALYSIS: This comparable represents a inferior quality/newer effective aged building located just southeast of the subject in Provo. Office percentage is superior. Building-to-land ratio is inferior to the subject. Site improvements are superior. Clear height is similar. Size is smaller. Other physical characteristics are considered to be similar to those of the subject.

COMPARABLE SALE FIVE

PROPERTY IDENTIFICATION

Address:	2103 South Tracy Hall Parkway
City/State:	Provo, Utah
Proximity to Subject:	4.5 miles southeast
Tax ID Number:	35:082:0002

SALE DATA

Grantor or Seller:	Vista Heights Investments LLC
Grantee or Buyer:	Cabinet Creations LLC
Date of Sale:	September 2025
Sales Price:	$2,875,000
Terms/Financing:	Cash to seller
Cash Equivalent Sale Price:	$2,875,000
Verification:	Ben Richardson, agent (801-706-1137)
Date of Inspection:	December 07, 2025
Estimated marketing time:	6 months

IMPROVEMENT DATA

Building Description:	Retail/Warehouse
Gross Building Area:	12,329 square feet
Number of Stories:	One
Construction:	Class "C", tilt-up
Quality:	Above Average
Condition at Sale Time:	Above Average
Year Built:	2024
Age at Sale Time:	1 year
Effective Age at Sale Time:	New
Office Area/Quality:	0 square feet
Office Percentage:	0.0 percent
Clear Ceiling Height:	23 feet
Sprinklered:	Yes
Size of Overhead Doors:	12x14
Dock High Floor/Doors:	Yes, four
Office Heating/Cooling:	Gas forced air with air conditioning
Warehouse Heating/Cooling:	Space heaters, air conditioning
Building-to-Land Ratio:	28.3 percent

COMPARABLE SALE FIVE - CONTINUED

GENERAL PROPERTY DATA

Zoning:	PIC - Industrial
Conditions of Sale:	Arm's length transaction
Property Rights Conveyed:	Fee Simple
Present Use:	Warehouse
Highest and Best Use:	Present use as improved
Rail Service:	No

SITE DATA

Size:	1.00 acres or 43,560 square feet
Configuration:	Mostly Rectangular
Frontage:	Tracy Hall Parkway
Topography:	Level
Utilities:	All municipal utilities
Parking:	Adequate
Parking Ratio:	n/a
Easements/Restrictions:	None noted

ECONOMIC DATA

Lease Type:	None
Lease Date/Terms:	n/a
Lease Rate/SF:	n/a
Projected Gross Income:	n/a
Vacancy:	n/a
Effective Gross Income:	n/a
Expenses:	n/a
Net Operating Income:	n/a

APPRAISAL INDICATORS

Overall Price/SF:	$233.19
Overall Rate:	n/a

ANALYSIS: This comparable represents superior quality/newer aged building located southeast of the subject in Provo. This location is removed and considered slightly inferior. Office/retail percentage is similar to the subject. Size is smaller. Building-to-land ratio is inferior to the subject. A downward adjustment is made for the comparable’s superior clear height. Other physical characteristics are considered to be similar to those of the subject.

COMPARABLE PHOTOGRAPHS

COMPARABLE ONE
764 East 1950 North, Spanish Fork

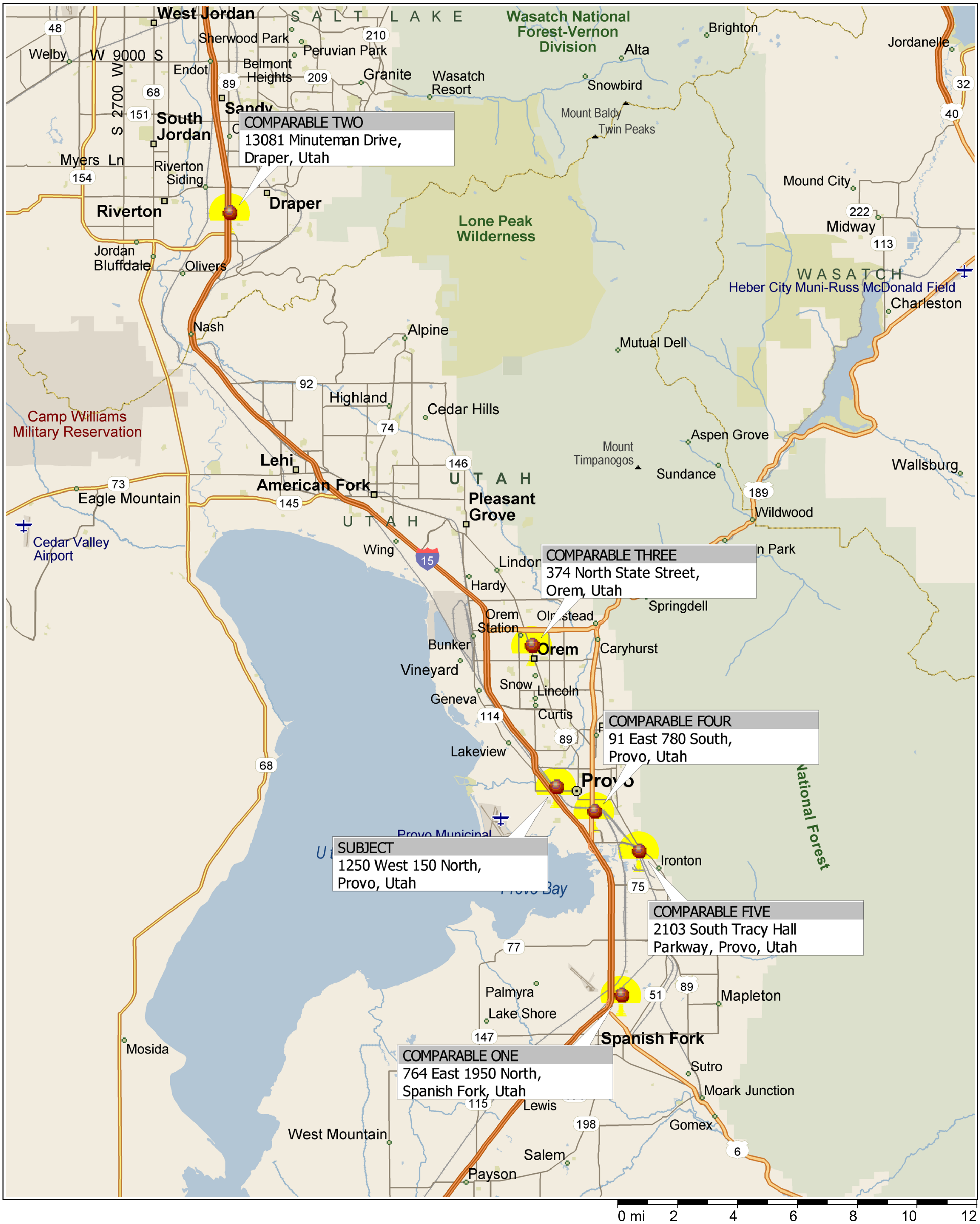
COMPARABLE TWO
13081 South Minuteman Drive, Draper

COMPARABLE THREE
374 North State Street, Orem

COMPARABLE FOUR
91 East 780 South, Provo

COMPARABLE FIVE
2103 South Tracy Hall Parkway, Provo

Sale Comparables Map



IMPROVED SALES SUMMARY							
#	**Sale Date**	**Location**	**Sale Price**	**Size (Sq.Ft.)**	**% Office**	**Effect Age**	**Price/ Sq.Ft.**
1	05/24	764 E. 1950 North, Sp. Fork	$3,450,000	22,950	15.6%	9 yrs	$150.33
2	03/24	13081 S. Min. Drive, Draper	$5,790,000	27,170	26.3%	10 yrs	$213.10
3	02/24	374 N. State Street, Orem	$3,620,000	16,809	50.0%	20 yrs	$215.36
4	09/25	91 E. 780 South, Provo	$2,180,000	10,800	21.5%	10 yrs	$201.85
5	09/25	2103 S. Tcy H. Pkwy, Provo	$2,875,000	12,329	0.0%	New	$233.19
Subject		1250 W. 150 North, Provo	n/a	25,130	0.0%	20 yrs	n/a

Value Indication by Price Per Square Foot Method

The subject will be valued based on the price per square foot method. Prior to adjustments, the comparables indicate a value range from $150.33 to $233.19 per square foot. Variance in price can typically be attributed to differences in property rights, conditions of sale, date of sale, location, and physical differences.

All of the comparables represent arms length, cash to seller transactions. As such, no adjustments are warranted for terms of sale and/or financing.

The comparables sold under a time frame from February 2024 to September 2025. A review of the comparables indicates that values have appreciated at 3.0 percent annually over the time frame and a 3.0 percent annual adjustment will be made.

The subject is being valued in fee simple title. Three of the five comparables sold based on fee simple property rights. Comparable one and two sold based on leased fee. A review of these comparables indicates that an adjustment is warranted for property rights for comparable one because the rental income was below market rate. No adjustment is made for comparable two as it was a market rate rent.

As to location and physical characteristics, factors warranting adjustments, as it was discussed in the Analysis Section of the respective comparable data sheets, will be reflected in the adjustment grid as found on the following page.

ADJUSTMENT GRID

	COMPARABLES				
	1	2	3	4	5
Unadjusted Price/SF	$150.33	$213.10	$215.36	$201.85	$233.19
Property Rights	10%	0%	0%	0%	0%
Subtotal	$165.36	$213.10	$215.36	$201.85	$233.19
Terms of Sale	0%	0%	0%	0%	0%
Subtotal	$165.36	$213.10	$215.36	$201.85	$233.19
Conditions of Sale	0%	0%	0%	0%	0%
Subtotal	$165.36	$213.10	$215.36	$201.85	$233.19
Market Conditions (Date)	3%	3%	3%	0%	0%
Subtotal	$170.32	$219.49	$221.82	$201.85	$233.19
Location **Average**	3% Inferior	0% Similar	-3% Superior	0% Similar	3% Inferior
Quality **Block/Steel/Ave**	2% Steel/Ave	-2% Block/Avg	-2% Block/Avg	2% Steel/Avg	-5% Tilt/Avg
Age/Condition **20 yrs**	-5% 9 yrs	-5% 10 yrs	0% 20 yrs	-5% 10 yrs	-10% New
Size **25,130 sf**	0% 22,950 sf	0% 27,170 sf	-3% 16,809 sf	-5% 10,800 sf	-5% 12,329 sf
Percent Office **0.0%**	-4% 15.6%	-6% 26.3%	-10% 50.0%	-5% 21.5%	0% 0.0%
Clear Height **14-16 feet**	-2% 19 feet	-2% 19 feet	0% 14 feet	0% 16 feet	-5% 23 feet
Building-to-Land **22.4%**	5% 44.3%	3% 31.2%	3% 31.9%	7% 59.0%	1% 28.3%
Site Improvements **Partial**	-3% Superior	-3% Superior	-3% Superior	-3% Superior	-3% Superior
Other/Quonset	-2%	-2%	-2%	-2%	-2%
ADJUSTED PRICE/ SQ.FT.	$160.10	$182.18	$177.46	$179.65	$172.56
NET ADJUSTMENT	-6%	-17%	-20%	-11%	-26%
GROSS ADJUSTMENT	26%	23%	26%	29%	34%
Mean	$174.39				

Price Per Square Foot Conclusion

The comparables indicate a range of adjusted sale prices from $160.10 to $182.18 per square foot with an overall average of $174.39 per square foot. All of the comparables represent similar buildings located in Utah and Salt Lake County and are good for comparison. When giving most weight to the overall average, a concluded rounded value of $175.00 per square foot is justified. At 25,130 square feet, the subject's value is calculated as follows:

$175.00/SF x 25,130 SF	$ 4,397,750
ROUNDED TO	$ 4,400,000

After careful consideration of the information presented in this section of the report, I am of the opinion that the as is market value of the fee simple estate, as of December 12, 2025, is:

$4,400,000

"FOUR MILLION FOUR HUNDRED THOUSAND DOLLARS"

RECONCILIATION AND FINAL VALUE ESTIMATE

Reconciliation is the final step in the valuation process where the appraisal report concludes with a final value estimate.

A brief description of the site, building improvements, and other factors concerning the property were discussed. The property was analyzed concerning the highest and best use as if vacant and as improved. The existing improvements are consistent with the highest and best use as vacant.

The next step in the appraisal process was estimating the fee simple title market value of the subject through appraisal methods. The major valuation conclusion was reached in the report via the Sales Comparison Approach ($4,400,000). As noted, the Income Capitalization and Cost Approaches were not applicable.

After careful consideration of the information and analysis contained within this report, I am of the opinion that the "as is" market value of the subject property, with fee simple property rights, as of December 12, 2025, is:

$4,400,000

"FOUR MILLION FOUR HUNDRED THOUSAND DOLLARS"

CERTIFICATION OF VALUE

I, BRADFORD DYRENG certify that, to the best of my knowledge and belief:

- The statements of fact contained in this report are true and correct.

- The reported analyses, opinions, and conclusions are limited only by the reported assumptions and limiting conditions and are my personal, impartial, and unbiased professional analyses, opinions, and conclusions.

- I have no present or prospective interest in the property that is the subject of this report and no personal interest with respect to the parties involved.

- I have not performed other appraisal services, as an appraiser, regarding the property that is the subject of this report within the three-year period immediately preceding acceptance of this assignment.

- I have no bias with respect to the property that is the subject of this report or to the parties involved with this assignment.

- My engagement in this assignment was not contingent upon developing or reporting predetermined results.

- My compensation for completing this assignment is not contingent upon the development or reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this appraisal.

- My analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the *Uniform Standards of Professional Appraisal Practice*.

- I have made a personal inspection of the property that is the subject of this report.

- No one provided significant real property appraisal assistance to the person signing this certification.

- The reported analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the Code of Professional Ethics and Standards of Professional Appraisal Practice of the Appraisal Institute.

- The use of this report is subject to the requirements of the Appraisal Institute relating to review by its duly authorized representatives.

- As of the date of this report, I have completed the continuing education program of the Appraisal Institute.

January 12, 2026
BRADFORD DYRENG

Utah State - Certified General Appraiser License # 6168334-CG00 (Exp. 11/30/27)

GENERAL ASSUMPTIONS

This appraisal report has been made with the following general assumptions:

1. The legal description used in this report is assumed to be correct.

2. No survey of the property has been made by the appraiser and no responsibility is assumed in connection with such matters. Sketches in this report are included only to assist the reader in visualizing the property.

3. No responsibility is assumed for matters of a legal nature affecting title to the property nor is an opinion of title rendered. The title is assumed to be good and marketable, unless otherwise stated.

4. Information furnished by others is assumed to be true, correct, and reliable. A reasonable effort has been made to verify such information; however, no responsibility for its accuracy is assumed by the appraiser.

5. All mortgages, liens, encumbrances, leases, and servitudes have been disregarded unless so specified within the report. The property is appraised as though under responsible ownership and competent management.

6. It is assumed that there are no hidden or unapparent conditions of the property, subsoil, or structures which would render it more or less valuable. No responsibility is assumed for such conditions or for engineering which may be required to discover such factors.

7. Full compliance with all applicable federal, state, and local environmental regulations and laws is assumed unless noncompliance is stated, defined, and considered in the appraisal report.

8. It is assumed that all applicable zoning and use regulations and restrictions have been complied with, unless a nonconformity has been stated, defined, and considered in the appraisal report.

9. It is assumed that all required licenses, certificates of occupancy, consents, or other legislative or administrative authority from any local, state, or national government or private entity or organization have been or can be obtained or renewed for any use on which the value estimate contained in this report is based.

10. It is assumed that the utilization of the land and improvements is within the boundaries or property lines of the property described and that there is no encroachment or trespass unless noted in the report.

GENERAL LIMITING CONDITIONS

The appraisal report has been made with the following general limiting conditions:

1. The appraiser will not be required to give testimony or appear in court because of having made this appraisal, with reference to the property in question, unless arrangements have been previously made.

2. Possession of this report, or a copy thereof, does not carry with it the right of publication. It may not be used for any purpose by any person other than the party to whom it is addressed without the written consent of the appraiser, and in any event only with proper written qualification and only in its entirety.

3. The distribution of the total valuation in this report between land and improvements applies only under the reported highest and best use of the property. The allocations of value for land and improvements must not be used in conjunction with any other appraisal and are invalid if so used.

4. Disclosure of the contents of this appraisal report is governed by the By-Laws and Regulations of the Appraisal Institute.

   Neither all nor any part of the contents of this report (especially any conclusions as to value, the identity of the appraiser or any reference to the Appraisal Institute or to the MAI designation) shall be disseminated to the public through advertising media, public relations media, sales media or any other public means of communication without the prior written consent and approval of the appraiser.

5. Acceptance of and/or use of this appraisal report constitutes acceptance of the stated general assumptions and limiting conditions.

SPECIAL LIMITING CONDITIONS

1. The liability of Dyreng Real Estate Services is limited to the client only and to the fee actually received by appraiser. Further, there is no accountability, obligation, or liability to any third party. If this report is placed in the hands of anyone other than client, the client shall make such party aware of all limiting conditions and assumptions of the assignment and related discussions. The appraiser is in no way to be responsible for any costs incurred to discover or correct <u>any</u> deficiencies of <u>any</u> type present in the property; physically, financially, and/or legally. In the case of limited partnerships or syndication offerings or stock offerings in real estate, client agrees that in case of lawsuit (brought by lender, partner or part owner in any form of ownership, tenant, or any other party), any and all awards, settlements of any type in such suit, regardless of outcome, client will hold appraiser completely harmless in any such action.

2. The existence of potentially hazardous material on or near the subject site and/or used in the construction or maintenance of any of the buildings, such as the presence of urea-formaldehyde foam insulation, and/or the existence of toxic waste, which may or may not be present on the property, was not observed by myself, nor do I have any knowledge of the existence of such materials on or in the property. The appraiser, however, is not qualified to detect such substances. The existence of urea-formaldehyde foam insulation or other potentially hazardous waste material may have an effect on the value of the property. I urge the client to retain an expert in this field if desired.

3. If there is proposed construction, the appraisal is made subject to satisfactory completion of construction according to architectural plans.

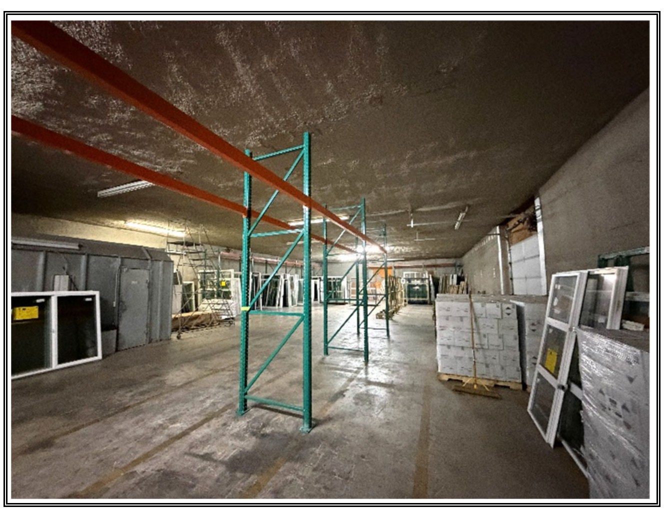
SUBJECT PHOTOGRAPHS

LOOKING SOUTHWESTERLY AT SUBJECT

LOOKING NORTHEASTERLY AT SUBJECT

LOOKING WESTERLY AT SUBJECT

TYPICAL FINISH



TYPICAL FINISH

TYPICAL FINISH

SUBJECT PHOTOGRAPHS

LOOKING NORTHERLY AT
INDEPENDENCE AVENUE

LOOKING SOUTHERLY AT
INDEPENDENCE AVENUE

QUALIFICATIONS OF APPRAISER
BRADFORD DYRENG, MAI
DYRENG REAL ESTATE SERVICES
Real Estate Appraisers and Consultants
1032 North Titan Drive
Lehi, UT 84043

Education

Utah State University, Master of Business Administration, December 2009

Real Estate and Appraisal Courses

Basic Appraisal Principles, Appraisal Institute 02/10
Basic Appraisal Procedures, Appraisal Institute 02/10
15-Hour National USPAP Course 02/10
Online Residential Sales Comparison and Income Approach, Appraisal Institute 03/11
Residential Site Valuation and Cost Approach, Appraisal Institute 03/11
Online Residential Market Analysis and Highest & Best Use, Appraisal Institute 03/11
Residential Report Writing and Case Studies, Appraisal Institute 05/11
Business Practices and Ethics, Appraisal Institute 07/12
General Appraiser Income Approach Part I, Appraisal Institute 03/14
General Appraiser Income Approach Part II, Appraisal Institute 03/14
General Appraiser Sales Comparison Approach, Appraisal Institute 06/14
General Appraiser Site Valuation and Cost Approach, Appraisal Institute 07/14
General Appraiser Market Analysis and Highest & Best Use, Appraisal Institute 09/14
Real Estate Finance Statistics and Valuation Modeling, Appraisal Institute 10/14
General Appraisal Report Writing and Case Studies, Appraisal Institute 11/14
Small Hotel/Motel Valuation, Appraisal Institute 03/15
Subdivision Valuation, Appraisal Institute 03/15
7-Hour Equivalent USPAP Update Course, Appraisal Institute, 05/17
Analyzing Operating Expenses, Appraisal Institute 12/17
Appraising Convenience Stores, Appraisal Institute 12/17
Data Verification Methods, Appraisal Institute 12/17
Advanced Income Capitalization, Appraisal Institute 02/18
Advanced Market Analysis and Highest & Best Use, Appraisal Institute 04/18
Quantitative Analysis 10/2019
Advanced Concepts and Case Studies 11/2019

Work History

Real Estate Appraiser/Consultant
Nielsen and Company, Orem, Utah
March 2010 to February 2020

Real Estate Appraiser/Consultant
Dyreng Real Estate Services, Draper, Utah
March 2020 to Present

Professional Accomplishments

Certified General Appraiser - State of Utah - License # 6168334-CG - Expires 11/30/2027
Member of the Appraisal Institute - Member ID #539222
MAI Designation - Appraisal Institute - February 2024

Appraisal Experience

Apartment Project: 12 to 120 unit projects.
Eminent Domain: Road widening, wetlands mitigation, utility corridors, and airport expansion.
Hotel/Motel: Hotels and motels ranging from 40 to 120 rooms with convention facilities.
Industrial: Office/warehouse and manufacturing facilities up to 4,000,000 square feet.
Office Building: Single and multi-tenant facilities ranging from 1,000 to 200,000 square feet.
Assisted Living: Various care levels ranging from 8 to 85 wards.
Townhome and Condo projects: Single and multi-phase projects ranging from 10 to 120 units.
Retail: Neighborhood and community centers.
Raw Land: Land ranging from 10 to 1,000 acres.
Subdivisions: Single and multi-phase projects ranging from 4 to 200 lots.
Recreational Properties.

Partial List of Clients Served

Zions First National Bank
First Security Bank
Western Bank
Washington Mutual Bank
U.S. Bank
Bank of American Fork
Central Bank
Far West Bank
Brighton Bank
Holladay Bank and Trust
Orem Community Bank
Banc One
Capital Community Bank
American Investment Financial
First National Bank
National Bank of Arizona
Frontier State Bank
Wells Fargo Bank
GE Capital Asset Funding
Merrill Lynch Mortgage Capital Inc.
National Mortgage Company
California Bank and Trust
Bank of Utah

Utah Department of Transportation
Lehi City
American Fork City
Provo City
Orem City
Utah County
Springville City
Various attorneys
Alpine School District
Credit Bureaus
Various developers and contractors
Grand County
LDS Church
Versar Engineering
Horricks Engineering
RBG Engineering
Celtic Bank
Silver State Bank
Prudential Mortgage Capital
GMAC Capital Funding
SkyMar Capital Funding
Mountain America Credit Union
M & T Mortgage

STATE OF UTAH
DEPARTMENT OF COMMERCE
DIVISION OF REAL ESTATE

ACTIVE LICENSE

DATE ISSUED: 12/07/2023

EXPIRATION DATE: 11/30/2025

LICENSE NUMBER: 6168334-CG00

LICENSE TYPE: Certified General Appraiser

BRADFORD BAILEY DYRENG
13923 S ARROW CREEK DR
DRAPER UT 84020

SIGNATURE

REAL

ADDENDUM

DEFINITIONS

These definitions have been extracted, solely or in combination, from definitions and descriptions printed in:

- The Dictionary of Real Estate Appraisal, Fourth Edition, Appraisal Institute, Chicago, Illinois, 2002 (Dictionary).
- The Appraisal of Real Estate, Twelfth Edition, Appraisal Institute, Chicago, Illinois, 2001 (Twelfth Edition).
- Marshall Valuation Service, Marshall & Swift, Los Angeles, California, (MVS).

<u>Absolute Net Lease</u>

A lease in which the tenant pays all expenses including structural maintenance and repairs; usually a long-term lease to a credit tenant. *(Dictionary)*

<u>Accrued Depreciation</u>

The difference between the reproduction or replacement cost of the improvements on the effective date of the appraisal and the market value of the improvements on the same date. *(Dictionary)*

<u>Deferred Maintenance</u>

Curable, physical deterioration that should be corrected immediately, although work has not commenced; denotes the need for immediate expenditures, but does not necessarily suggest inadequate maintenance in the past. *(Dictionary)*

<u>Discounted Cash Flow (DCF) Analysis</u>

The procedure in which a discount rate is applied to a set of projected income streams and a reversion. The analyst specifies the quantity, variability, timing, and duration of the income streams as well as the quantity and timing of the reversion and discounts each to its present value at a specified yield rate. DCF analysis can be applied with any yield capitalization technique and may be performed on either a lease-by-lease or aggregate basis. *(Dictionary)*

<u>Effective Date</u>

The date at which the analyses, opinions, and advice in an appraisal, review, or consulting service apply. *(Dictionary)*

<u>Entrepreneurial Incentive</u>

A market-derived figure that represents the amount an entrepreneur expects to receive as compensation for providing coordination and expertise and assuming the risks associated with the development of a project. *(Twelfth Edition)*

<u>Entrepreneurial Profit</u>

A market-derived figure that represents the amount an entrepreneur receives for his or her contribution to a project and risk; the difference between the development cost of a property and its market value upon completion and stabilization, which represents the entrepreneur's compensation for the risk and expertise associated with development.

Entrepreneurial profit is an amount earned, estimated after completion, while entrepreneurial incentive is an amount anticipated, prior to development. *(Twelfth Edition)*

Exposure Time

The time a property remains on the market. The estimated length of time the property interest being appraised would have been offered on the market prior to the hypothetical consummation of a sale at market value on the effective date of the appraisal; a retrospective estimate based on an analysis of past events assuming a competitive and open market. Exposure time is always presumed to occur prior to the effective date of the appraisal. The overall concept of reasonable exposure encompasses not only adequate, sufficient and reasonable time but also adequate, sufficient and reasonable effort. Exposure time is different for various types of real estate and value ranges and under various market conditions. *(Dictionary)*

Fee Simple Estate

Absolute ownership unencumbered by any other interest or estate, subject only to the limitations imposed by the governmental powers of taxation, eminent domain, police power, and escheat. *(Dictionary)*

Floor Area Ratio (FAR)

The relationship between the above-ground floor area of a building, as described by the building code, and the area of the plot on which it stands; in planning and zoning, often expressed as a decimal, e.g., a ratio of 2.0 indicates that the permissible floor area of a building is twice the total land area. *(Dictionary)*

Gross Building Area (GBA)

The total floor area of a building, including below-grade space but excluding unenclosed areas, measured from the exterior of the walls. All enclosed floors of the building including basements, mechanical equipment floors, penthouses, and the like are included in the measurement. Parking spaces and parking garages are excluded. *(Dictionary)*

Gross Lease

A lease in which the landlord receives stipulated rent and is obligated to pay all or most of the property's operating expenses and real estate taxes. *(Dictionary)*

Highest and Best Use

The reasonably probable and legal use of vacant land or an improved property, which is physically possible, appropriately supported, financially feasible, and that results in the highest value. The four criteria the highest and best use must meet are legal permissibility, physical possibility, financial feasibility, and maximum profitability. (Dictionary)

Industrial Property Classifications

Distribution Warehouse - High cube single-story structures with clear ceiling heights of at least 22 feet to allow three stacking heights of seven feet each. The most common height in this market is 24-foot clear ceiling height. Some distribution buildings now have clear ceiling heights as high as 40 feet or more due to the introduction of robotic computer systems, which allow very narrow aisles and high stacking. In general, column spacing is wider than that in office warehouse buildings and office build-out is minimal, generally 10% or less.

Flex - Buildings designed with warehouse capabilities such as dock-high or drive-in loading doors and clear ceiling heights of 14 to 16 feet. However, they are termed flex based on their broad range of office finish and their single-story exterior office appearance. The level of office finish typically ranges from 30% to 70% and suites can be divided into relatively small units. Research & Development (R&D) buildings are generally the same as flex warehouse construction but with higher percentages of office finish, often up to 90%.

Manufacturing - Buildings intended to provide space in which to transform, fabricate, or assemble physical resources into other physical goods. These buildings can vary greatly in design, with low clear ceiling heights of 12 feet, to very high clear ceiling heights of 30 feet or more, according to specific industry needs.

Office Warehouse - Generally single-story buildings with clear ceiling heights ranging from about 16 feet to 21 feet. The level of office finish is shaped by the needs of individual tenants, the general uses within the market area, and the availability of parking. The level of office finish typically ranges from 10% to 20%. Suites are typically larger than flex warehouse space. These buildings usually have drive-in bays, dock height bays, or a combination thereof and are used for light manufacturing, services, and small-scale distribution businesses.

<u>Insurable Value</u>

Value used by insurance companies as the basis for insurance. Often considered to be replacement or reproduction cost plus allowances for debris removal or demolition less deterioration and noninsurable items. Sometimes cash value or market value, but often entirely a cost concept. *(MVS)*

<u>Leased Fee Interest</u>

An ownership interest held by a landlord with the rights of use and occupancy conveyed by lease to others. The rights of the lessor (the leased fee owner) and the lessee are specified by contract terms contained within the lease. *(Dictionary)*

<u>Leasehold Interest</u>

The interest held by the lessee (the tenant or renter) through a lease transferring the rights of use and occupancy for a stated term under certain conditions. *(Dictionary)*

<u>Market Rent</u>

The rental income a property would probably command in the open market; indicated by the current rents that are either paid or asked for comparable space as of the date of the appraisal. *(Twelfth Edition)*

<u>Market Value</u>

The most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

- buyer and seller are typically motivated;
- both parties are well informed or well advised, and acting in what they consider their best interests;
- a reasonable time is allowed for exposure in the open market;
- payment is made in terms of cash in United States dollars or in terms of financial arrangements comparable thereto; and
- the price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale. *(Dictionary; 12 C.F.R. Part 34.42(g); 55 Federal Register 34696, August 24, 1990, as amended at 57 Federal Register 12202, April 9, 1992; 59 Federal Register 29499, June 7, 1994)*

<u>Marketing Time</u>

The time it takes an interest in real property to sell on the market subsequent to the date of an appraisal. Reasonable marketing time is an estimate of the amount of time it might take to sell an interest in real property at its estimated market value during the period immediately after the effective date of the appraisal; the anticipated time required to expose the property to a pool of prospective purchasers and to allow appropriate time for negotiation, the exercise of due diligence, and the consummation of a sale at a price supportable by concurrent market conditions. (*Dictionary*)

<u>Modified Gross Lease</u>

A lease in which the landlord receives stipulated rent and is obligated to pay most, but not all, of the property's operating expenses and real estate taxes. *(Dictionary)*

<u>Net Lease</u>

Generally a lease in which the tenant pays for utilities, janitorial services, and either property taxes or insurance, and the landlord pays for maintenance, repairs, and the property taxes or insurance not paid by the tenant. Also called *single net lease, modified gross lease,* and *semi-gross lease;* sometimes used synonymously with *single net lease but* better stated as *a partial net lease to* eliminate confusion. *(Dictionary)*

<u>Net Net Lease</u>

Generally a lease in which the tenant pays for utilities, janitorial services, property taxes, and insurance in addition to the rent, and the landlord pays for maintenance and repairs. Also called *double net lease, NN, modified gross lease,* and *semigross lease;* sometimes used synonymously with *single net lease* but better stated as *a partial net lease to* eliminate confusion. *(Dictionary)*

<u>Net Net Net Lease</u>

A net lease under which the lessee assumes all expenses of operating a property, including both fixed and variable expenses and any common area maintenance that might apply, but the landlord is responsible for structural repairs. Also called *triple net lease* or *NNN* but better stated as a fully net lease. (Dictionary)

Prospective Value Opinion

A forecast of the value expected at a specified future date. A prospective value opinion is most frequently sought in connection with real estate projects that are proposed, under construction, or under conversion to a new use, or those that have not achieved sellout or a stabilized level of long-term occupancy at the time the appraisal report is written. *(Dictionary)*

Rentable Area (RA)

The amount of space on which rent is based, calculated according to local practice. *(Dictionary)*

Replacement Cost

The estimated cost *to* construct, at current prices as of the effective appraisal date, a building with utility equivalent to the building being appraised, using modern materials and current standards, design and layout. *(Dictionary)*

Reproduction Cost

The estimated cost to construct, at current prices as of the effective date of the appraisal, an exact duplicate or replica of the building being appraised, using the same materials, construction standards, design, layout, and quality of workmanship and embodying all the deficiencies, superadequacies, and obsolescence of the subject building. *(Dictionary)*

Stabilized Occupancy

Occupancy at that point in time when abnormalities in supply and demand or any additional transitory conditions cease to exist and the existing conditions are those expected to continue over the economic life of the property; the optimum range of long term occupancy which an income-producing real estate project is expected to achieve under competent management, after exposure for leasing in the open market for a reasonable period of time at terms and conditions comparable to competitive offerings. *(Dictionary)*

Usable Area

The area available for assignment or rental to an occupant, including every type of usable apace; measured from the inside finish of outer walls to the office side of corridors or permanent partitions and from the centerline of adjacent spaces; includes subdivided occupant space, but no deductions are made for columns and projections. (*Dictionary*)

Value As Is

The value of specific ownership rights to an identified parcel of real estate as of the effective date of the appraisal; relates to what physically exists and is legally permissible and excludes all assumptions concerning hypothetical market conditions or possible rezoning. *(Dictionary)*

ECONOMIC SNAPSHOT

Utah County

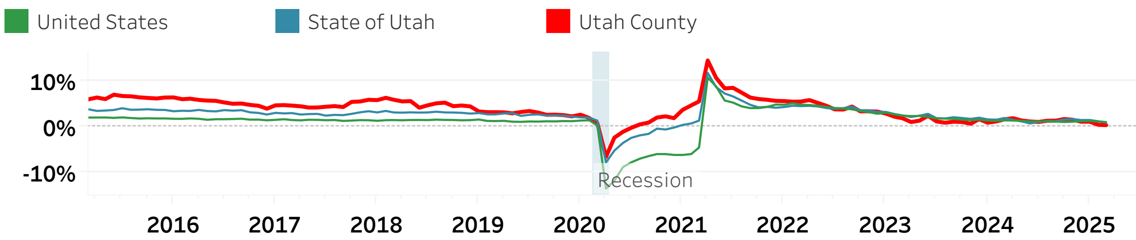
Select Area
Utah County

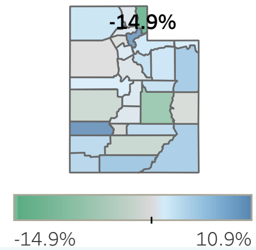
WORKFORCE SERVICES RESEARCH & ANALYSIS

Year-to-Year Change in Nonfarm Jobs

March 2025 ⬆ 1,460

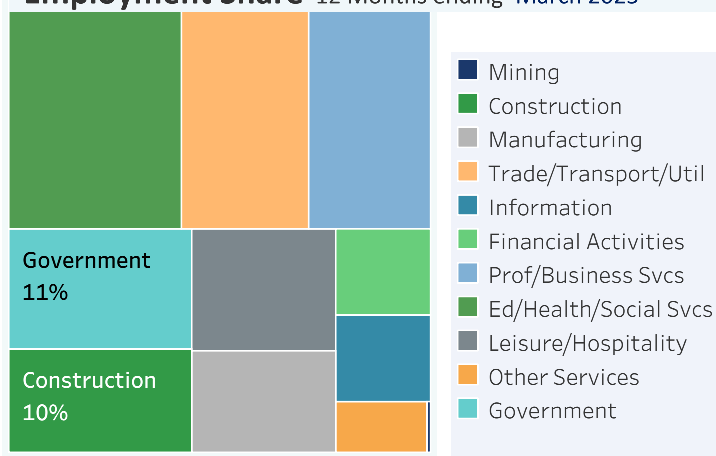
Utah County	State of Utah	United States
⬆ 0.5%	⬆ 1.1%	⬆ 1.1%





19	Mining	6.8%
561	Construction	1.9%
327	Manufacturing	1.4%
-2,849	Trade/Transport/Util	-6.1%
398	Information	3.2%
-22	Financial Activities	-0.2%
1,170	Prof/Business Svcs	2.6%
2,202	Ed/Health/Social Svcs	3.2%
-912	Leisure/Hospitality	-3.2%
86	Other Services	1.2%
498	Government	1.4%

Employment Share 12 Months ending March 2025**



How's the economy?

Utah County saw slower job growth in the first quarter of 2025 amid weakness in the trade, transportation & utilities sector. However, at 3.3%, the county's July unemployment rate remains in line with that of the state. Construction in the county continues to be strong in 2025, with total construction values up 79% year-to-date, driven by strong nonresidential construction, much of which has been for the construction of industrial, warehousing and manufacturing structures.

Jobs

Utah County grew jobs by just 0.5% over the year ended March 2025 amid a 6.1% decline in trade, transportation and utilities jobs. The sector, which is the second largest industry by employment, shed 2,849 jobs over the year. However, job gains in the education, health & social services and professional & business services sectors offset these declines.

* Preliminary. Source: U.S. Bureau of Labor Statistics; Utah Department of Workforce Services. Updated August 2025, next update November 2025.

jobs.utah.gov/wi/insights/county/utah.html

Gwen Kervin, gkervin@utah.gov

ECONOMIC SNAPSHOT Utah County

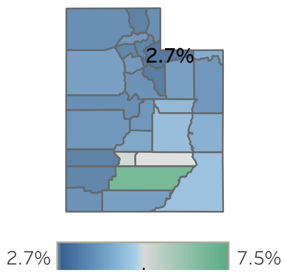
Select Area
Utah County

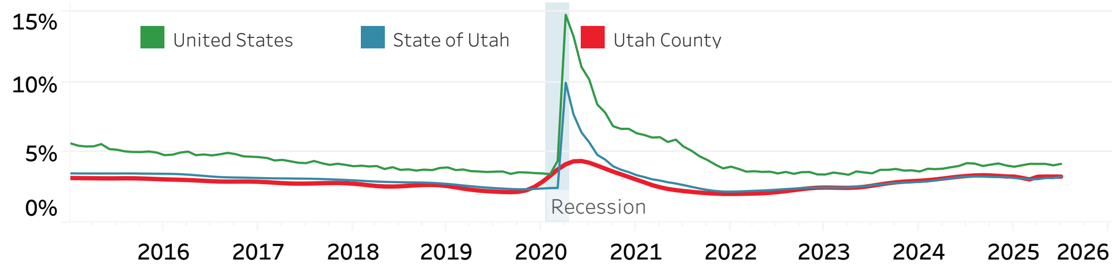
Seasonally Adjusted Unemployment Rate
July 2025

3.3% Utah County

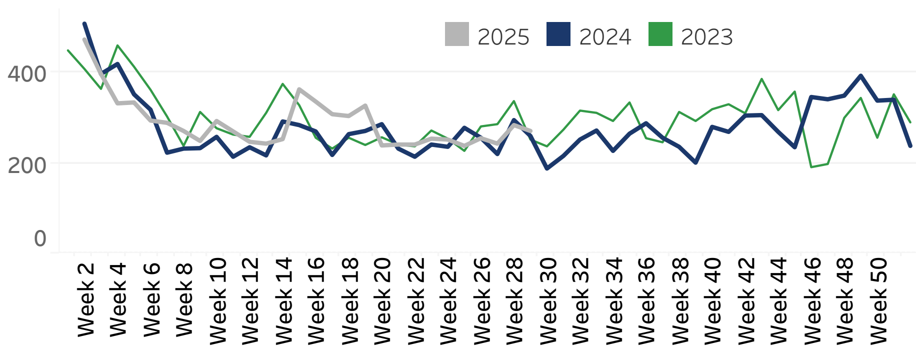
3.3% State of Utah

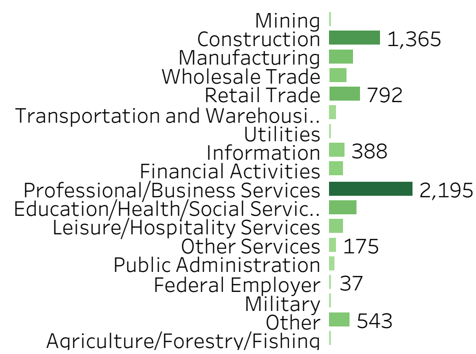
4.2% United States



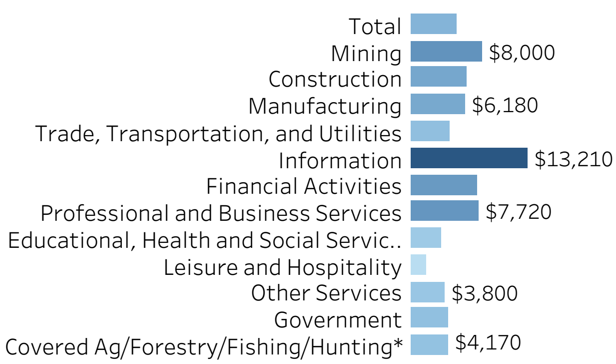


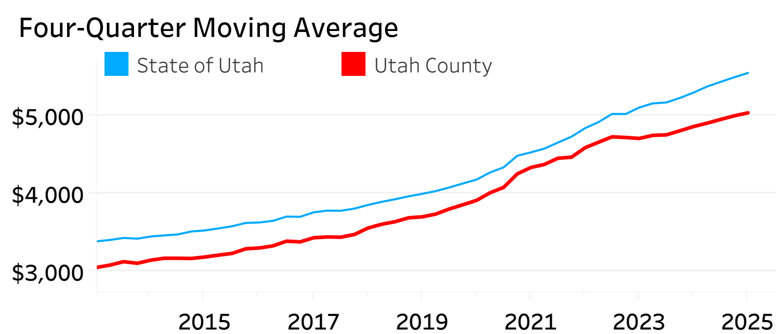
Initial Claims for Unemployment Insurance July 13, 2025 **YTD**





Average Monthly Wage* First Quarter 2025





Unemployment & Wages

Utah County's July 2025 unemployment rate came in at 3.3%, in line with that of the state. The county's unemployment rate has hovered around 3.2% and 3.3% throughout 2025. Unemployment rates at these levels still point to strong labor markets.

Over the last year, Utah County has averaged 289.3 new unemployment claims per week, a 1% increase over the previous year. In comparison, the State of Utah had a year-over-year decrease in initial unemployment claims of 2%.

Wage growth in Utah County has lagged that of the state for the past two years. Professional and business services, which accounts for 15% of the county's employment saw average monthly wages decline by 2% over the last year. Trade, transportation and utilities, which reduced industry employment by 6.1% over the last twelve months, had one of the slowest growth rates in wages over the last 12 months, increasin..

*Preliminary. Source: U.S. Bureau of Labor Statistics and Utah Dept of Workforce Services. Updated August 2025, next update November 2025.

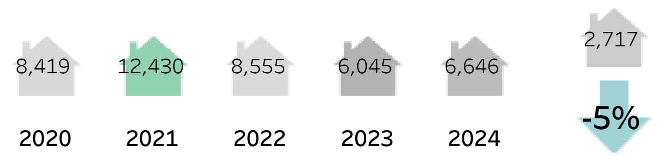
ECONOMIC SNAPSHOT **Utah County**

Select Area
Utah County

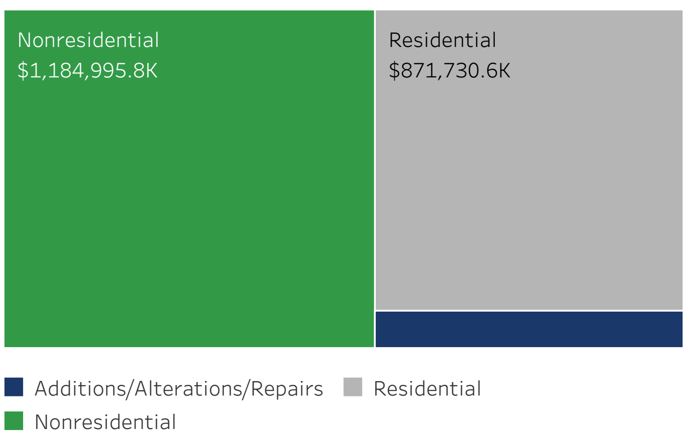
WORKFORCE SERVICES RESEARCH & ANALYSIS

Construction Permitting May 2025 YTD

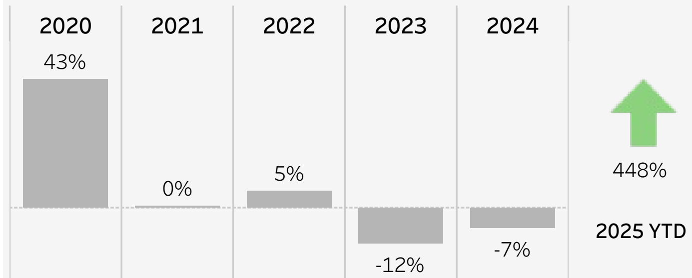
Dwelling Unit Permits



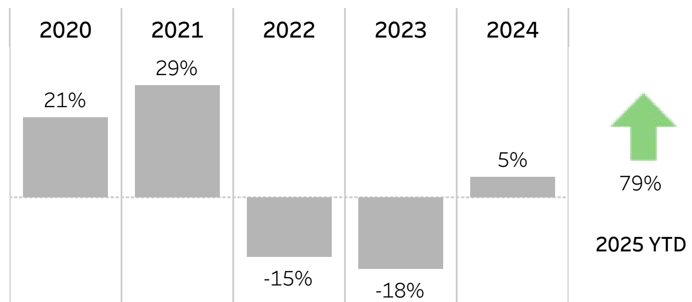
Values to Date



Change in Nonresidential Values



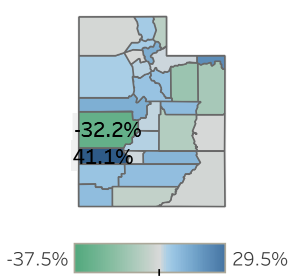
Change in Total Values

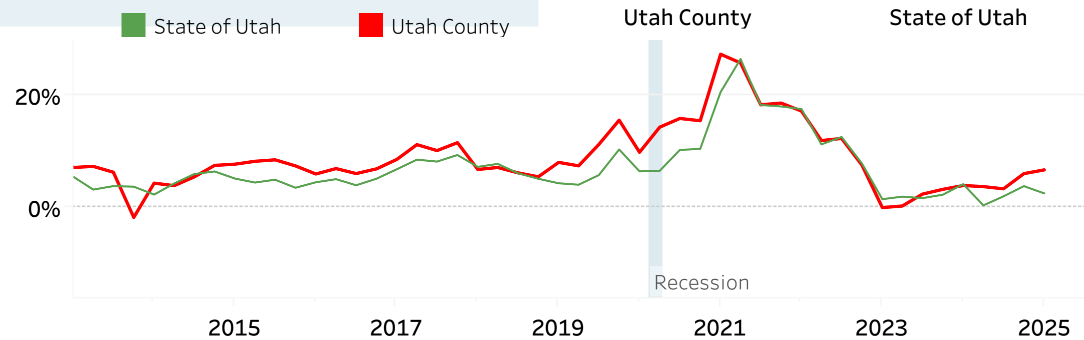


Annual Change in Gross Taxable Sales First Quarter 2025

6.6% Utah County

2.4% State of Utah





Construction & Sales

Total construction permitting values in Utah County are up 79% year-to-date, buoyed by a 448% increase in nonresidential permitting values. Nonresidential permitting values stand at $1.2 billion, $985.7 million of which is for industrial, warehousing and manufacturing construction.

Taxable sales are up 6.6% in Utah County, surpassing the statewide taxable sales growth rate of 2.4% for the first quarter of 2025. Taxable retail services, which makes up 57% of total taxable sales in the county, grew by 7.1% to 2.5 billion. Amid the retail sector, general merchandise stores and motor vehicle and parts dealers generated the most sales, bringing in $556.8 million and $540.4 million, respectively.

*Preliminary: NA - Not Available Source: Utah Dept of Workforce Services; Kem C. Gardner Policy Institute; Utah State Tax Commission. Updated August 2025, next update November 2025.

ECONOMIC SNAPSHOT Utah County

Nonfarm Jobs First Quarter 2025*

	January 2025			February 2025			March 2025		
	Total Jobs	Year-Ago Numeric Change	Year-Ago Percent Change	Total Jobs	Year-Ago Numeric Change	Year-Ago Percent Change	Total Jobs	Year-Ago Numeric Change	Year-Ago Percent Change
TOTAL	310,363	3,777	1.2%	311,225	1,664	0.5%	311,940	1,460	0.5%
GOODS PRODUCTION	54,093	1,537	2.9%	53,860	1,040	2.0%	54,186	907	1.7%
Mining	283	28	11.0%	281	20	7.7%	299	19	6.8%
Construction	29,811	906	3.1%	29,669	595	2.0%	29,987	561	1.9%
Manufacturing	23,999	603	2.6%	23,910	425	1.8%	23,900	327	1.4%
SERVICE PRODUCTION	256,270	2,240	0.9%	257,365	624	0.2%	257,754	553	0.2%
Trade/Transport/Util	44,643	-2,134	-4.6%	44,298	-2,601	-5.5%	44,001	-2,849	-6.1%
Wholesale Trade	6,712	-440	-6.2%	6,751	-459	-6.4%	6,742	-377	-5.3%
Retail Trade	32,358	-1,357	-4.0%	32,061	-1,792	-5.3%	31,888	-1,965	-5.8%
Transportation/Warehousing	5,050	-346	-6.4%	4,979	-349	-6.6%	4,865	-504	-9.4%
Utilities	523	9	1.8%	507	-1	-0.2%	506	-3	-0.6%
Information	13,136	485	3.8%	13,107	530	4.2%	12,998	398	3.2%
Financial Activities	12,197	-259	-2.1%	12,275	-97	-0.8%	12,334	-22	-0.2%
Finance and Insurance	8,376	-281	-3.2%	8,423	-148	-1.7%	8,486	-44	-0.5%
Real Estate and Rental/Leasing	3,821	22	0.6%	3,852	51	1.3%	3,848	22	0.6%
Prof/Business Svcs	45,507	1,156	2.6%	45,370	725	1.6%	45,911	1,170	2.6%
Professional/Sci/Tech Svcs	25,721	198	0.8%	25,888	361	1.4%	25,809	329	1.3%
Management of Companies	3,178	378	13.5%	3,193	373	13.2%	3,181	266	9.1%
Admin Support/Waste Mgt	16,608	580	3.6%	16,289	-9	-0.1%	16,921	575	3.5%
Ed/Health/Social Svcs	69,118	2,435	3.7%	70,284	2,079	3.0%	70,548	2,202	3.2%
Educational Services	30,132	1,389	4.8%	31,110	1,234	4.1%	31,449	1,501	5.0%
Health Care/Social Services	38,986	1,046	2.8%	39,174	845	2.2%	39,099	701	1.8%
Leisure/Hospitality	27,316	-498	-1.8%	27,491	-680	-2.4%	27,580	-912	-3.2%
Arts/Entertainment/Recreation	4,020	9	0.2%	4,034	-12	-0.3%	3,977	-204	-4.9%
Accommodation/Food Services	23,296	-507	-2.1%	23,457	-668	-2.8%	23,603	-708	-2.9%
Other Services	7,406	89	1.2%	7,475	64	0.9%	7,497	86	1.2%
Government	36,946	967	2.7%	37,064	605	1.7%	36,884	498	1.4%
Federal	1,113	-9	-0.8%	1,111	-18	-1.6%	1,108	-9	-0.8%
Local	25,814	717	2.9%	25,864	392	1.5%	25,650	316	1.2%
State	10,019	259	2.7%	10,089	231	2.3%	10,126	191	1.9%
Unclassified	1	-1	-50.0%	1	-1	-50.0%	1	-18	-94.7%
Covered Agriculture*	1,073	41	4.0%	1,113	19	1.7%	1,115	-42	-3.6%
Private	273,417	2,810	1.0%	274,161	1,059	0.4%	275,056	962	0.4%

*Preliminary: Source: Utah Department of Workforce Services. Updated August 2025, next update November 2025.

Chapter 14.20B
FC2 - FREEWAY COMMERCIAL TWO ZONE

Sections:

14.20B.010 Purpose and Objectives.

The Freeway Commercial Two (FC2) zone is established to provide a transition between the freeway commercial area and the gateway into downtown. The primary use of the land is for commercial and service uses to serve regional population needs, as well as local residents, and should not compete with downtown. Buildings in this area should be attractive, well designed and create an inviting entry to the City. Required yards and areas surrounding buildings shall be attractively landscaped and maintained in harmony with the characteristics of the surrounding residential areas. The uses characteristic of this zone will be a variety of medium- to large-scale retail and business uses with satellite shops and facilities serving a wide range of goods and services.

(Enacted 2012-23)

14.20B.020 Permitted Uses.

(1) Those uses or categories of uses as listed herein, and no others, are permitted in the FC2 zone.

(2) All uses contained herein are listed by number as designated in the Standard Land Use Code published and maintained by the Planning Commission. Specific uses are identified by a four (4) digit number in which all digits are whole numbers. Classes or groupings of such uses permitted in the zone are identified by a four (4) digit number in which the last one (1) or two (2) digits are zeros.

(3) All such categories listed herein and all specific uses contained within them in the Standard Land Use Code will be permitted in the FC2 zone, subject to the limitations set forth herein.

(4) *Permitted Principal Uses.* The following principal uses and structures, and no others, are permitted in the FC2 zone:

Use No.	**Use Classification**
1511	Hotels
1512	Motels
4700	Communications (except 4715)
4811	Electric transmission right-of-way (identifies areas where the surface is devoted exclusively to the right-of-way of the activity)
4821	Gas pipeline right-of-way (identifies areas where the surface is devoted exclusively to the right-of-way of the activity)
4824	Gas pressure control stations
4831	Water pipeline right-of-way (identifies areas where the surface is devoted exclusively to the right-of-way of the activity)
4835	Irrigation distribution channels
4836	Water pressure control stations and pumping plants
4841	Sewage pipeline right-of-way (identifies areas where surface is devoted exclusively to right-of-way activity)
4844	Sewage pumping stations
4864	Combination utilities right-of-way (identifies areas where surface is devoted exclusively to right-of-way activity)
4873	Storm drain or right-of-way (predominantly covered pipes or boxes)

Use No.	Use Classification
4923	Travel agencies
5230	Paint, glass and wallpaper
5240	Electrical supplies
5251	Hardware
5255	Building maintenance
5256	Swimming pool supplies
5311	Department stores (includes major and junior chain department stores)
5312	Discount department stores
5330	Variety stores
5390	Retail trade - general merchandise
5400	Food stores (groceries, meats and fish, fruits and vegetables, candy, nuts, dairy, bakeries, etc.)
5490	Miscellaneous retail food establishment
5511	Motor vehicles, automobiles - new car sales and used car sales which will be permitted only as an accessory use to new car sales
5515	Motor vehicles, trucks and buses - new vehicle sales and used vehicles sales permitted only as an accessory use to new truck and bus sales
5520	Automobile accessories (except tire recapping and vulcanizing)
5530	Gasoline service stations
5594	Motorcycles, motor scooter parts, accessories, supplies
5600	Apparel and accessories
5700	Furniture, home furnishings, and equipment (no combined warehousing)
5810	Eating places (restaurants)
5910	Drug and proprietary stores

Use No.	Use Classification
5940	Books, stationery, art and hobby supplies
5950	Sporting goods, bicycles, and toys
5969	Garden supplies (entirely within a building only)
5970	Jewelry
5990	Miscellaneous retail stores (includes florists, newspapers and magazines, photo supplies, pet stores, and other similar retail stores, excluding tobacco products)
6100	Banks, insurance and real estate (except 6123 Pawnbrokers, 6124 Bail bonds, and 6129 Other credit services)
6200	Personal services - including laundry, photography, beauty and barber services, clothing repair, etc. (except 6294 Escort services and 6295 Tattooing)
6297	Athletic clubs, body building studios, spas, aerobic centers (no gymnasiums)
6330	Duplicating, mailing, stenographic and office services
6360	Employment services
6493	Watch, clock, jewelry repair, etc.
6496	Locksmiths and key shops
6497	Gunsmiths
6511	Physicians’ offices and services
6512	Dental offices and services
6520	Legal services
6530	Engineering, architectural, and planning services
6590	Professional services

Use No.	Use Classification
6720	Protective functions and related activities
6730	Postal services
6815	Day care services (subject to the Day care services standards of Section 14.34.250, Provo City Code)
6833	Beauty schools
6835	Dance studios and schools
7111	Libraries
7212	Motion picture theaters (indoor - subject to the Dance Halls standards of Section 14.34.250, Provo City Code)
7398	Video rental shops
7600	Parks

(5) *Permitted Accessory Uses.* Accessory uses are permitted in the FC2 zone provided they are incidental to, and do not substantially alter, the character of the permitted principal use or structure. Such permitted accessory uses and structures include, but are not limited to, the following:

(a) Accessory buildings such as garages, carports, equipment storage and supply storage buildings which are customarily used in conjunction with and incidental to a principal use or structure permitted in the FC2 zone; and

(b) Storage of materials used for construction of a building, including a contractor's temporary office; provided, that such use be located on the building site or immediately adjacent thereto; and provided further, that such use shall be permitted only during the construction period and thirty (30) days thereafter.

(6) *Conditional Uses.* The following uses and structures are permitted in the FC2 zone only after a conditional use permit has been issued, and subject to the terms and conditions thereof and the standards of Section 14.34.250, Provo City Code:

Use No.	Use Classification
4715	Communications, low power radio communication towers and antennas
4814	Electricity regulating substations

Use No.	Use Classification
4823	Natural or manufactured gas storage; distribution points
4829	Other gas utilities, NEC
4834	Water storage as part of a utility system (covered including water storage standpipes)
4872	Debris basin (a dam and basin for intercepting debris)
4874	Spreading grounds (area for percolating water into underground
5920	Liquor, package
5931	Antiques (no outside display)
6299	Personal services (wedding chapel and reception centers only)
6340	Dwelling and building services (not dwelling units)
6394	Equipment rental (indoor only)
6397	Vehicle rental (passenger automobiles only)
6399	Miscellaneous business services
6416-7	Auto washing and polishing
6722	Police protection and related activities, branch (office only)
6942	Fraternal associations and lodges
7392	Miniature golf

(Enacted 2012-23, Am 2020-53, Am 2025-52)

14.20B.030 Prior Created Lots.

Existing lots or parcels of land that do not meet the minimum lot standards found in Section 14.21A.050, Provo City Code, may not obtain a building permit without approval of a conditional use permit. A conditional use permit may only be issued if the proposed project meets the conditions outlined in Section 14.02.040(2), Provo City Code, in addition to the following:

(1) The applicant has demonstrated that consolidation of property to meet the minimum lot requirements is not feasible due to surrounding projects, developments, or buildings.

(2) Requiring a development that meets the minimum lot requirements would result in a project that would be inconsistent with the characteristics of the surrounding area or with the established pattern of the existing buildings.

(3) The applicant has demonstrated that the property can be developed to comply with the purposes and requirements of this title without further need of variances or exceptions.

(Enacted 2012-23)

14.20B.040 Lot Standards.

Lots within the FC2 zone shall be developed according to the following:

Minimum Lot Area:	1 acre
Minimum Lot Width:	100 feet
Minimum Lot Depth:	100 feet
Minimum Lot Frontage:	100 feet
Maximum Lot Coverage:	No requirement

(Enacted 2012-23)

14.20B.050 Yard Requirements.

Yards shall be provided according to the following:

Yard	**Minimum**
(1) Front Yard:	10 feet
(2) Side Yard:	0 feet
(3) Street Side Yard:	10 feet
(4) Driveway Access:	16 feet
(5) Rear:	20 feet

Yard	Minimum
(6) Clear Vision Area:	See Section 14.34.100, Provo City Code, Clear Vision Area - Corner Lots

(Enacted 2012-23)

14.20B.060 Projections into Yards.

(1) The following structures may be erected on or project into any required yard, except they may not obstruct a required driveway:

(a) Fences and walls in conformance with the Provo City Code and other City codes and ordinances;

(b) Landscape elements, including trees, shrubs, and other plants; and

(c) Necessary appurtenances for utility services.

(2) The structures listed below may project into a minimum front or rear yard not more than four (4) feet, and into a minimum side yard not more than two (2) feet, except that they may not obstruct a required building.

(a) Cornices, eaves, belt courses, sills, buttresses, or other similar architectural features;

(b) Fireplace structures and bays, provided they are not wider than eight (8) feet and are generally parallel to the wall of which they are a part;

(c) Stairways, balconies, door stoops, fire escapes, awnings, and planter boxes or masonry planters not exceeding twenty-four (24) inches in height; and

(d) Carports and loading docks in a side yard or rear yard; provided, that such a structure is not more than one (1) story in height and is entirely open on at least three (3) sides, except for necessary supporting columns and customary architectural features.

(Enacted 2012-23)

14.20B.070 Building Height.

No lot or parcel of land in the FC2 zone shall have a building or structure which exceeds a height of three (3) stories with a maximum of fifty (50) feet. Chimneys, flagpoles, or similar structures not used for human occupancy are excluded in determining height.

(Enacted 2012-23)

14.20B.080 Parking, Loading, and Access.

(1) Each lot or parcel in the FC2 zone shall have on the same lot or parcel automobile parking sufficient to meet the requirements as set forth in Chapter 14.37, Provo City Code.

(2) All parking spaces shall be built as described in Section 14.37.090, Provo City Code, and shall be provided with adequate drainage which shall not run across a public sidewalk.

(3) Parking spaces shall not be provided within a required front yard or side yard adjacent to a public street.

(4) Loading spaces shall be provided as required by the Planning Commission.

(Enacted 2012-23, Am 2020-09)

14.20B.090 Transitional Development Standards.

(1) Buildings or portions of buildings in the FC2 zone located adjacent to properties in any residential zone shall be located twenty (20) feet from the nearest property line of a residentially zoned property.

(2) Loading docks shall not be located on the sides of structures which face a residential property.

(3) Site design and access shall be oriented to flow traffic away from local secondary streets.

(4) All business, commercial, manufacturing, and industrial development which borders a residential zone shall comply with the standards set forth in Section 14.34.300, Provo City Code.

(Enacted 2012-23)

14.20B.100 Design Standards.

(1) *Design Standards.* The following design standards shall apply to the FC2 zone:

(a) The exterior finish material on all buildings shall not consist of vinyl or metal siding (including sheet or corrugated metal), plywood, particle board or other wood products not intended as an architectural finish product, or manufactured stone.

(b) Building wall materials shall be combined on each facade horizontally only, with the heavier elements (material or weight) below lighter elements. For example, stone should not be above stucco, or brick should not be below concrete.

(c) All windows and doors, with the exception of ground level shop fronts, shall be square or vertical in proportion.

(d) Buildings in the FC2 zone are not required to be located along a public street; however, buildings that orient the rear of the building towards a public street must treat the rear elevation so it is not immediately recognizable as a building rear. A minimum of fifty percent (50%) of the rear facade must be dedicated to windows, door(s) or other facade treatments that suggest a building front. The door need not be functional as a building entrance.

(Enacted 2012-23)

14.20B.110 Other Requirements.

(1) *Signs.* See Chapter 14.38, Provo City Code.

(2) *Uses within Buildings.* All uses established in the FC2 zone shall be conducted entirely within a fully enclosed building except those uses deemed by the Planning Commission to be customarily and appropriately conducted in the open. Such uses may include, but would not be limited to, service stations, ice skating, miniature golf, etc.

(3) *Landscaping.* See Chapter 15.20, Provo City Code.

(4) *Trash Storage.* See Section 14.34.080, Provo City Code.

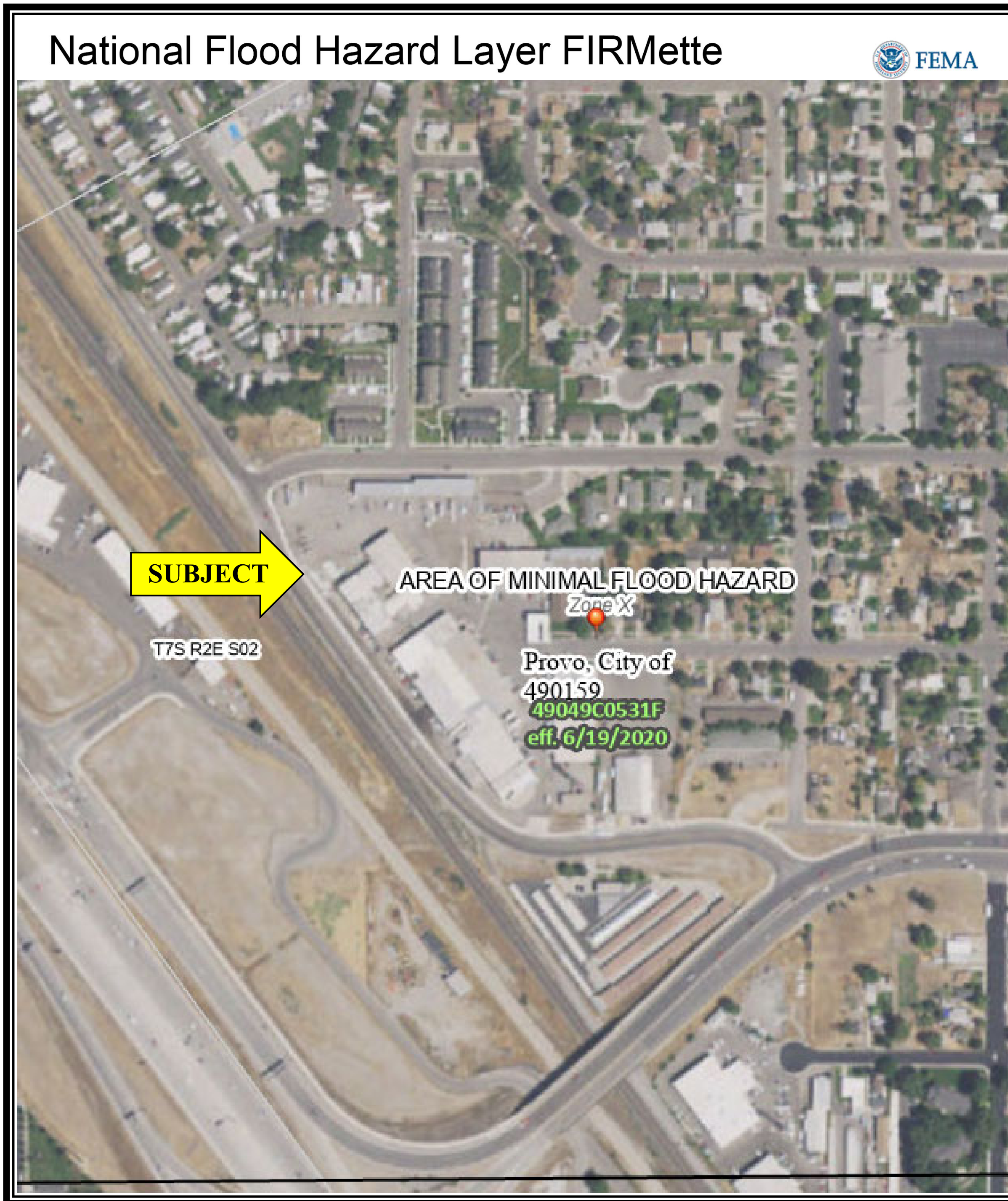
(5) *Walls and Fences.*

(a) No wall, fence, or opaque hedge or screening material higher than thirty-six (36) inches shall be maintained within a required front yard in an FC2 zone.

(b) A decorative masonry wall, at least six (6) feet in height, shall be erected along all property lines which lie adjacent to a residential zone. In the case where there is mutual agreement between the property owners of the commercial zone and the adjacent residential zone, the masonry wall requirement may be modified to allow other suitable materials. A signed agreement must be submitted to the Planning Commission or its designee, indicating this agreement. In the case where there is not mutual agreement, the masonry wall will be required.

(Enacted 2012-23, Am 2022-43)

FLOOD MAP


National Flood Hazard Layer FIRMette
FEMA
SUBJECT
AREA OF MINIMAL FLOOD HAZARD
Zone X
T7S R2E S02
Provo, City of
490159
49049C0531F
eff. 6/19/2020

LEGAL DESCRIPTION

21:019:0009, Portion of:

COM S 0 DEG 40' 9" E 1018.23 FT & W 1372.88 FT FR E 1/4 COR. SEC. 2, T7S, R2E, SLB&M.; S 44 DEG 51' 15" W 130.47 FT; S 89 DEG 11' 51" W 30.7 FT; S 0 DEG 48' 9" E 48.49 FT; S 43 DEG 26' 23" W 91.89 FT; S 54 DEG 7' 36" W 264.93 FT; N 35 DEG 53' 6" W 290.62 FT; N 14 DEG 20' 22" W 45.38 FT; N 37 DEG 19' 35" E 20.33 FT; N 39 DEG 56' 43" W 24.16 FT; N 7 DEG 8' 23" W 53.02 FT; S 89 DEG 40' 32" E 591.27 FT TO BEG. AREA 2.836 AC.

21:019:0059:

COM S 0 DEG 40' 9" E 958.89 FT & W 2005.3 FT FR E 1/4 COR. SEC. 2, T7S, R2E, SLB&M.; S 36 DEG 26' 33" E 70.06 FT; S 7 DEG 1' 21" E 53.43 FT; S 40 DEG 3' 19" E 24.16 FT; S 37 DEG 12' 59" W 20.33 FT; S 14 DEG 26' 58" E 43.31 FT; ALONG A CURVE TO R (CHORD BEARS: N 23 DEG 56' 48" W 87.94 FT, RADIUS = 313.71 FT); ALONG A CURVE TO L (CHORD BEARS: N 21 DEG 37' 49" W 85.53 FT, RADIUS = 427.51 FT); ALONG A CURVE TO R (CHORD BEARS: N 10 DEG 51' 41" E 26.61 FT, RADIUS = 21.5 FT) TO BEG. AREA 0.085 AC.